

Branch

Anti-Money Laundering and Counter Terrorist / Proliferation

Financing (AML/CTF/PF) Manual

Check List (Quality Assurance Requirements):

Business units (document owner) is responsible to review and check the below list and to mark when applicable:

	Yes	No	N/A	Page Number (If Yes)
• Are the below defined:				
○ Roles & Responsibilities.	☒	☐	☐	9
○ Definitions.	☒	☐	☐	4
○ Reporting & Monitoring.	☒	☐	☐	9
○ References.	☒	☐	☐	8
○ Archiving Mechanism.	☐	☐	☐	
○ System and Automation mechanism.	☒	☐	☐	8
○ Escalation and Approval mechanism.	☒	☐	☐	11
○ Training & Awareness Mechanism.	☒	☐	☐	7
• Does the document contain Maker & Checker?	☒	☐	☐	11
• Was the document aligned with all relevant stakeholders?	☒	☐	☐	
• Is the content of the document well-structured and clarified?	☒	☐	☐	

Definitions

Term	Definitions
AML	Anti Money Laundering
	Central Bank
	Bank
DIFC	Bank DIFC Branch
BIC	Bank Identification Code
Beneficial Owner	1. In relation to a customer, means a natural person who ultimately owns or controls the customer or a natural person on whose behalf a transaction is conducted or a business relationship is established, and includes: a. in relation to a body corporate, a person referred to in Rule 7.3.3 (2) or (4); b. in relation to a foundation, a person referred to in Rule 7.3.5 (2) or (3); and c. in relation to a trust or other similar legal arrangement, a person referred to in Rule 7.3.6 (2) or (3). 2. In relation to a beneficiary of a life insurance or other similar policy, means a natural person who ultimately owns or controls the beneficiary. Branch will follow cabinet resolution 34 of 2020 on Beneficiary Owner.
Body corporate	Any entity, corporate, including a limited liability partnership, whether constituted under the law of the DIFC, an Emirate, the State or any other country or territory
BRCC	Business Risk and Control Committee
Cabinet Decision No. 20 of 2019	Means Federal Cabinet Decision No. 20 of 2019 regarding Terrorism Lists Regulation and Implementation of UN Security Council Resolutions on the Suppression and Combating of Terrorism, Terrorist Financing and Proliferation of Weapons of Mass Destruction, and Related Resolutions.
CADD	Customer Acquisition Due Diligence
Customer	Unless otherwise provided, means: (a) a person where, in relation to a business relationship between the person and a Relevant Person, there is a firm intention or commitment by each party to enter into a contractual relationship or where there is a firm commitment by each party to enter into a transaction, in connection with a product or service provided by the Relevant Person; (b) a Client of an Authorized Firm; (c) a Member or prospective Member of, or an applicant for admission of Securities to trading on, an Authorized Market Institution; (d) in relation to a Single Family Office, a member of the Single Family; or € a person with whom a Relevant Person is otherwise establishing or has established a business relationship.
Client	A Retail Client, Professional Client or Market Counterparty as defined in DFSA COB chapter 2.
Employee	An individual:

	a. who is employed or appointed by a Person in connection with that Person's business, whether under a contract of service or for services or otherwise; or b. whose services, under an arrangement between that Person and a third party, are placed at the disposal and under the control of that Person.
DFSA	Dubai Financial Services Authority
CDD	Customer Due Diligence
CFT	Combating the Financing of Terrorism
CTF	Counter Terrorist Financing
EDD	Enhanced Due Diligence
EOCN	The Executive office for control and non-proliferation
FATF	Financial Action Task Force. The FATF is an inter-governmental body established in 1989 by the Ministers of its Member jurisdictions. The objectives of the FATF are to set standards and promote effective implementation of legal, regulatory and operational measures for combating money laundering, terrorist financing and other related threats to the integrity of the international financial system. The FATF is therefore a 'policy-making body' which works to generate the necessary political will to bring about national legislative and regulatory reforms in these areas
FI	Financial Institution
FIU	Financial Investigation Unit
Integration	During the integration phase an apparently legitimate explanation is derived for the money launderer's wealth. This is generally accomplished through schemes, such as real estate purchases, front companies or shell corporations, and investments in securities, artwork and other investments, in such a way that the funds re-enter the banking system as apparently legitimate earnings. The laundered funds become part of other legal funds in the economy so that it is difficult to differentiate between legitimate and illegitimate funds It is a stage in which money is put back into the economy, so that it becomes difficult to distinguish. It is between it and funds of legitimate source, with the aim of legitimizing and merging illegal funds Lawfully in the local or global economy, through the purchase of funds, including the purchase of financial assets or stocks, precious commodities, or real estate investment.
KYC	Know Your Client / Customer
Layering	During the layering phase, the criminal seeks to separate the proceeds from their source through complex layers of transactions. Layering may involve the purchase and cancellation or early surrenders of annuities during the "free-look period", back-to-back loan transactions, wire transfers or a multitude of false letters of credit, phony investing or trade schemes, and the creation of a single block of deposits

	comprised of numerous smaller deposits at different locations. The intent is to obscure the audit trail, thereby making it difficult for law enforcement officials to trace the proceeds of the illicit activity. It is a stage in which funds are transferred and transferred in order to conceal their origin, aiming to disguise the original source of funds entered into the financial system, including sending wire transfers to a financial institution buying and selling investments, financial instruments, cancelling the financing contract or cancelling the protection and / or saving plan during the grace period or phantom investments or commercial plans
LFI	Licensed financial Institution
MLRO	Money Laundering Reporting Officer
Money Laundering	As per Federal Decree-Law No. (20) of 2018 On Anti-Money Laundering, Combating the Financing of Terrorism and Financing of Illegal Organizations Article (2) 1. Any person who knows that funds are proceeded by an original offence and committed any of the following acts shall be deemed a money launderer: a. Transferring, moving or conducting any operation to conceal or disguise its illegal source. b. Concealing or disguising the fact of proceeds, their source, place, the way of disposition, their movement, ownership or relevant rights. c. Gaining, possessing or using the proceeds upon its delivery. d. Helping the perpetrator of the original offence to evade punishment. 2. A money laundering crime shall be deemed as a separate crime, and any penalty enforced against the perpetrator of the original offence shall not preclude punishment for a money laundering crime. 3. Conviction of the original offence shall not require proving the illegal source of proceeds
OFAC	Office of Foreign Assets Control
ORMD	Operational Risk Management Department
PF	Proliferation Financing
PEP	Politically Exposed Person. Means a natural person (and includes, where relevant, a family member or close associate) who is or has been entrusted with a prominent public function, whether in the State or elsewhere, including but not limited to, a head of state or of government, senior politician, senior government, judicial or military official, ambassador, senior person in an International Organization, their deputies or any similar position, senior executive of a state owned corporation, an important political party official, or a member of senior management or an individual who has

	been entrusted with similar functions such as a director or a deputy director. This definition does not include middle ranking or more junior individuals in the above categories
Placement	Placement involves the physical entry of bulk cash or illegally obtained funds into the financial or trading systems. In the past this was accomplished through cash deposits and purchases of monetary instruments for cash. Modern methods include the use of currency exchanges, securities brokers, check cashing services, the retail economy (through cash purchases), and the smuggling of cash from one country to another. It is a stage in which funds resulting from an illegal source are invested or entered into the financial system , the purpose of which is to deposit cash resulting from illegal activities in the financial system in a manner that does not attract attention. The customer has any financial activities and operations including accepting cash deposits, exchanging currencies, and buying Shares and conclusion of financing contracts or protection and / or savings contracts.
RBA	Risk Based Approach
RCSA	Risk and Control Self-Assessment
SCA	Securities Commodities Authority
Terrorism Financing	Terrorism Financing is the process of supporting a group whose objective is to intimidate a population or to compel a Government or an international organization to do or abstain from doing any act. A successful terrorist group, like any criminal organization, is therefore necessarily one that is able to build and maintain an effective financial structure, for which it must develop sources of funding and means of laundering the funds. For an individual or collective criminal enterprise, directly or indirectly Terrorist crime refers to all behavior carried out by the perpetrator in execution Direct, intended to disturb public order, destabilize the security of society and the stability of the state, or endanger its national unity, Or disrupting the Basic Law of Governance or some of its provisions, or damaging one of the state's facilities or natural resources or Economic law, or an attempt to force one of its authorities to do or abstain from doing an act, or harm anyone or cause his death, when the purpose - by its nature or context - is to terrorize people or to force a government or international organization to do anything Acting or abstaining from doing it, or threatening to perform acts performed to the aforementioned purposes or to instigate them. As well as any behavior that

	constitutes a crime under the Kingdom's obligations in any of the associated international agreements or protocols. The crime of financing terrorism is achieved by providing funds for the activity of a terrorist crime or for the benefit of a terrorist entity or person Terrorist, including financing and training terrorist travel
UAE	United Arab Emirates
WMD	Weapons of Mass Destruction

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1. Introduction

The international and regional impact of Anti-Money Laundering and Terrorist Financing (AML/CTF) concerns has contributed to paying more attention to certain requirements in order to avoid the spread of such crimes, as they directly and negatively affect the local and international economies. Thus, the United Arab Emirates has approved a variety of initiatives to help mitigate the risks of Money Laundering and Terrorist Financing. Such initiatives included legislative and regulative procedures that aim at combating money laundering, terrorist financing, terrorist crimes and financing proliferation.

In order to mitigate the impact of Money Laundering and Terrorist Financing (ML/TF) crimes on the economy of the United Arab Emirates, and to protect the Banking sector from being misused by criminals, and on the basis of international initiatives in this regard, DFSA have adopted reforms and initiatives that aims at protecting the Banking sector. Moreover, DFSA has issued rules and instructions defining responsibilities mandated to banks in relation to overseeing potential risks related to ML/TF transactions.

To detect and to monitor banks exploitations, DIFC DIFC shall strictly adhere to AML/CTF laws and rules. All Bank employees including contract workers shall adhere to these laws and rules to protect and avoid exploitation of the Bank, its employees, products, and services in AML/CTF activities. In this regard, the Senior Management shall periodically review policies and procedures related to AML/CTF to ensure the latest developments and legal requirements for AML/CTF are included.

On the basis of DFSA initiatives, adheres to all international practices in reducing the risks of Money Laundering and Terrorist Financing crimes including the recommendations issued by FATF and directions issued by the Basel Committee on AML/CTF.

The general AML/CTF Policy document represents the minimum legal requirements and procedures adopted for DIFC Branch.

DIFC has established an independent AML/CTF Department within the DIFC (hereinafter referred to as "Compliance Department") in order to ensure full compliance with the highest levels of legal and legislative requirements.

DIFC has implemented an automated system for monitoring financial transactions and conducting the required Enhanced Due-Diligence for High-Risk Customers and the sanctions programs, using a risk-based approach (RBA). This will help prioritizing the Money Laundering and Terrorist Financing suspicious alerts received from the automated transaction monitoring system; and taking the appropriate decision.

This document will be read along with the Rules and Regulations issued by the DFSA along with the Implementing Regulation to the Anti-Money Laundering Law, and the Law to Prevent and Counter Terrorism and its Financing, and the Guidelines for Implementing the United Nations Security Council resolutions related to Combating Terrorism and its Financing, and Sanctions Programs, in addition to KSA related AML/CFT laws and regulations -as applicable-

2. Purpose

This document represents the AML/CTF Compliance Program, and the primary purpose of this document is to regulate the responsibilities of the bank by applying the appropriate rules and regulations, and establishing the required standards to prevent the bank, its customers, products, services and employees from facilitating ML/TF transactions and to protect the bank from operational, legal and reputational risks.

This document has been developed in line with the Implementing Regulation of the of (AML/CTF) Law and its Executive Regulations, the Anti-Terrorism Law, the Guidelines for implementing the Security Council resolutions, and the Guidelines for Anti-Money Laundering and Counter Terrorist Financing issued by DFSA, the Recommendations issued by FATF, and the proposals issued by the Basel Committee in the field of AML/CTF.

The objectives of this document are represented in the following:

- a. Establishing the principle of "Compliance is everyone's responsibility" by defining the tasks, roles and responsibilities of all businesses and employees in the bank in regards to Anti-Money Laundering and Terrorist Financing and Sanctions.
- b. Defining the approach adopted by the bank in regards to the application of the risk-based approach and the methodology for assessing customer risks, products, services, channels and activities from the perspective of Combating ML/TF.
- c. Establishing a mechanism for the bank to comply with the resolutions issued by the UN Security Council relating to combating terrorist financing and the proliferation of weapons of mass destruction, in addition to the instructions issued by the local authorities.
- d. Establishing a mechanism for screening all clients' names (individuals, entities, ultimate beneficiaries, etc.) against names that have been classified as "designated persons" by Local Authorities, Interpol, and the United Nations.
- e. Establish a mechanism to monitor the international sanctions that are issued and available by other countries and the procedures for dealing with them, to avoid any potential legal violations that DIFC may face.
- f. Setting a mechanism for the bank's adherence to the standards and recommendations of FATF and the Public Statement/Public Document in relation AML/CTF in the Banking system.
- g. Developing a mechanism to apply KYC principles, and the customer identification process.
- h. Developing a mechanism to implement EDD and Due Diligence procedures.
- i. Dealing with clients that are classified as PEPs and their relatives and close associates.
- j. Defining the roles, tasks and responsibilities of the department in the DIFC.
- k. Determine the regulatory controls that should limit ML/TF transactions.
- l. AML and CT / PF Training Program.

3. Scope

Unless otherwise noted, this document applies to DIFC which are licensed and/or supervised by DFSA.

4. Statement

- Each employee is held responsible for complying with this document.
- All employees are responsible for being fully aware of the content of this document in its current form and of any updates that are approved after that, and must ensure that their actions are in full compliance with this document.
- The full responsibility lies with the Senior Management to ensure that the bank has effective AML/CTF measures and complying with local and international sanctions.
- The department is responsible for investigating and reporting cases of suspected ML/TF and local and international sanctions.
- The Internal Audit Division must perform an independent periodic audit of the department's activities as part of the approved audit plan and document the results of the inspection and send it to the higher management.

5. References and Regulations

This document builds upon the provisions of the following laws and regulations:

- Decree Federal Law No. 20 of 2018 on Anti-Money Laundering and Combating the Financing of Terrorism and Illegal Organizations ("AML-CFT Law").
- Cabinet Decision No. (10) of 2019 concerning the Implementation Regulation of Decree Federal Law No. 20 of 2018 on Anti-Money Laundering and Combating the Financing of Terrorism and Illegal Organizations ("AML-CFT Decision").
- Cabinet Decision No. (74) of 2020 Regarding Terrorism Lists Regulation and Implementation of UN Security Council Resolutions on the Suppression and Combating of Terrorism, Terrorists Financing & Proliferation of Weapons of Mass Destruction, and Related Resolutions ("Cabinet Decision 74").
- Cabinet Decision 58 of 2020: Beneficial Owner Procedures
- DFSA AML Rules
- [Anti-Money Laundering, Counter-Terrorist Financing and Sanctions Module \(AML\) \[VER22/04-23\] | Rulebook \(thomsonreuters.com\)](#)
- [Combatting Money Laundering & Terrorism Financing | Ministry of Economy - UAE \(moec.gov.ae\)](#)
- [UN page | EXECUTIVE OFFICE FOR CONTROL & NON-PROLIFERATION \(uaeiec.gov.ae\)](#)

The AML-CFT Law and the Cabinet Decisions require DIFC to promptly apply directives issued by the competent authorities of the UAE for implementing the decisions issued by the United Nations Security Council ("UNSC"). In furtherance of this requirement, the Cabinet Decision 74 sets out the legislative and regulatory framework regarding the Targeted Financial Sanctions ("TFS"), including the Local Terrorist List and the UN Consolidated List.

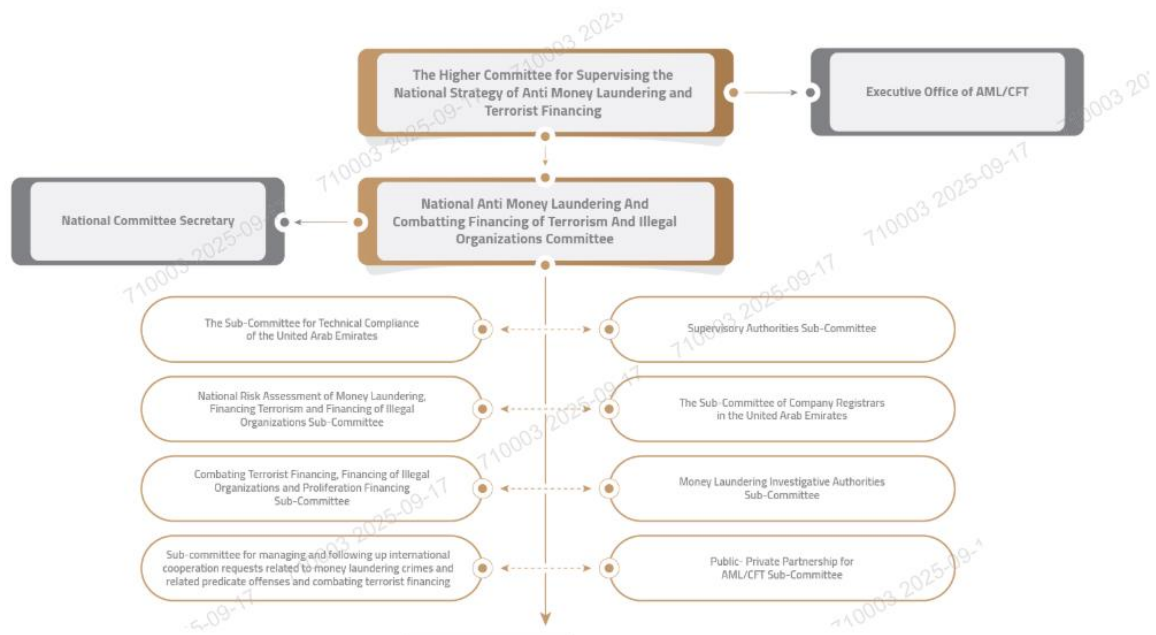
The Executive Office acts as a national lead to coordinate and liaison implementation of TFS with all the federal and local government stakeholders including financial institutions (FIs) and designated non-financial business and professions (DNFBPs) and has issued the Guidance on Targeted Financial Sanctions for FIs and DNFBPs".

The Executive office is mainly responsible for:

- Receiving and processing grievances against Listing in UN and Local Lists decisions;
- Receiving and processing applications to use frozen funds as per sanctions lists;
- Working closely with the Supreme Council with regards to the local Listing;
- Circulating updates to the local and UN lists to the government and private sector; and
- Coordinating and exchanging information between Government Agencies.

Organisational Chart for

AML/CFT Framework in the UAE



6. Roles and Responsibilities

In addition to the provisions outlined in the (AML/CTF) Law and Cabinet Decisions that have direct or indirect effects on the DIFC or its employees in a personal capacity. Where the DIFC bears responsibility for the actions of its employees, including not reporting to the Financial Investigation Unit (FIU) upon any suspicion of Money Laundering or Terrorist Financing transactions, and in the event that the bank or one of its employees is found to have not complied with DFSA rules and instructions, then the DIFC is subject to the penalties mentioned in the relevant rules and regulations.

Moreover, employees who violate the (AML/CTF) Law and Cabinet Decisions, Guidelines for Dealing with the UN's Security Council Resolutions, and related regulations and instructions will be subject to the measures stated in the internal policy for rewards and penalties approved by the DIFC.

- DIFC requires the Executive Management, and Employees to abide by the rules set forth in this document, provided that any violations detected, whether intentionally or unintentionally, are dealt with in accordance with the articles outlined in the (AML/CTF) Law and Cabinet Decision, Guidelines issued by DFSA, the DFSA Law and the relevant regulations to the Bank's employees. The laws of confidentiality of

information should not hinder the bank from applying the rules, regulations, laws, recommendations of (FATF) and directives issued by the Basel Committee in the field of Anti-Money Laundering and Terrorist Financing or the local and international sanctions.

- All DIFC employees and contract workers are prohibited from assisting or inciting any customer or external party to violate any applicable regulations or legislation related to combating ML/TF and adherence to local and international sanctions.
- All DIFC employees and contractors in their respective fields must take the necessary measures to prevent any illicit transactions from entering local and international financial systems and detect suspicious transactions that may require further review before processing, and report them immediately to the department according to the Suspected Transaction Report form (STR).
- All DIFC employees and contract workers are prohibited from notifying clients or any other person or other related parties that there is an investigation, report, or any related information that has been provided or will be submitted to the Financial Investigation Unit (FIU), or whether there is an internal investigation in progress or has been made in regards to a suspicion of activities or a customer. The employee who reports an STR will not be held liable whether the suspicion is proven true or not, as long as the report has been made and sent in good faith.
- All DIFC employees and contract workers must perform their duties and job at the best of their ability, honestly, impartially, accurately and professionally.
- All suspicious transactions that are made by clients or employees of the DIFC, should be reported to the department immediately by all business units and departments within DIFC to take the necessary measures, and inform the Financial Investigation Unit (FIU) through GoAml.

6.1 Cooperation with Local Authorities:

- Compliance Department at the DIFC is the only authorized party to exchange information with the Financial Investigation Unit (FIU) and DFSA regarding concerns of suspicions of Money Laundering and Terrorist Financing and international and local sanctions within the limits of statutory powers. Head Compliance has all of the above authority.
- Compliance department can communicate with FIU regarding concerns of suspicions of Money Laundering and Terrorist Financing and local and International Sanctions in a written form in accordance with its approved internal procedures, and the competent authorities must be informed of any assets that have been frozen or any measures taken to comply with the requirements of the embargo related to the relevant UN Security Council resolutions, including the attempted transactions.

6.2 Independence of the Compliance / AML Department:

- The department has complete independence in relation to the investigation of Anti-Money Laundering and Terrorist Financing cases, local and international sanctions and no other party in the DIFC has the authority to interfere in the department's decisions regarding suspicious cases and reporting them.
- The Department has all the necessary power to access relevant information, records, technical systems, and data while performing its duties and responsibilities. Where it is possible to request any document, regardless of the degree of its confidentiality, and any employee can be subject to interrogation in coordination with their management as per the internal procedures approved by the DIFC, and the Department is entitled to conduct field visits (scheduled/not scheduled) for all sectors of the DIFC and request all the information and data necessary for that.
- Head Compliance reports directly to the CEO DIFC Branch.
- The Compliance / AML department has complete confidentiality to perform its duties, and it is prohibited for any party inside the DIFC or any external party to access any information that belongs to the unit,
- including non-dealing lists, lists of tasks carried out, unblocking of accounts, asset freezing and

- unfreezing, and all information related to its work tasks.
- No delegation should be appointed to the Head compliance or any employees in the department to perform any tasks that may lead to a conflict of interest between those tasks and the tasks of their job.

6.3 Senior Management of DIFC:

Senior Management of DIFC is responsible for the continuous implementation and monitoring of complying with the requirements of Anti-Money Laundering and Counter Terrorist Financing in DIFC. The main responsibility of the Senior Management of DIFC includes, but is not limited to the following:

- Identifying, assessing and understanding the risks of Money Laundering and Terrorist Financing arising from new products, services, distribution channels or customers;
- Establishing an Anti-Money Laundering and Terrorist Financing and Sanction Compliance programs, including the development of Anti-Money Laundering and Terrorist Financing policies, procedures and controls, and developing them in a manner consistent with the new and updated methods, and modern typologies of money laundering and terrorist financing.
- Approving the bank's AML/CTF strategy and ensuring the provision of the necessary financial, human, and technical resources, and supervising the extent of compliance to implementing the relevant rules, regulations, and policies.
- Adopt internal procedures and controls to mitigate the risks of Money Laundering and Terrorist Financing;
- Review of policies and procedures periodically by establishing an appropriate mechanism for periodic review of key Anti-Money Laundering, Terrorist Financing and Sanctions policies and procedures to ensure their continued effectiveness in line with changes in the DIFC's products and services and addressing new and emerging risks in Money Laundering, Terrorist Financing, and Sanctions evolving risks and additional requirements.
- Take the essential recommendations by the Compliance Group, the Anti-Money Laundering and Terrorist Financing Department, the external Auditors and the Regulatory bodies that are related to assessing the DIFC's level of compliance to Anti-Money Laundering and Terrorist Financing;
- Provide Head Office with adequate, relevant information on matters related to Anti-Money Laundering and Terrorist Financing in a timely manner;
- Provide appropriate and specialized AML/CTF training to the employees on an annual basis to ensure the effective performance of their duties;
- Create an ongoing training program for DIFC employees to enable them to obtain sufficient knowledge to understand and carry out their responsibilities related to Anti-Money Laundering and Terrorist Financing;
- Supporting the Anti-Money Laundering and Terrorist Financing functions, and the independent audit appropriately, in terms of employees, technical systems, information and budget; to effectively implement, manage and monitor the requirements of the anti-money laundering and terrorist financing program;
- Follow up on the implementation of instructions and circulars issued by DFSA regarding Anti-Money Laundering and Counter Terrorist Financing.

6.4 Details of Roles and Responsibilities:

This section includes an explanation of the roles and responsibilities assigned to the main functions and main committees for Anti-Money Laundering and Terrorist Financing and local and international sanctions as shown below.

6.5 Senior Executive Officer (SEO):

- Provide the necessary support to compliance department to ensure that it is effectively performing their duties and responsibilities.
- Directing all of the DIFC's Business Heads to be fully committed to their responsibilities in regards to Anti-Money Laundering and Terrorist Financing and local and international sanctions.
- Full knowledge of all local and international requirements in relation Anti-Money Laundering and Terrorist Financing and local and international sanctions.
- Approving the organizational structure of the compliance department, and the SEO can also authorize the Head of Human Resources to do so.
- Appointing the Head Compliance (Money Laundering Reporting Officer, MLRO) after obtaining DFSA's approval to the appointment in accordance with the regulatory requirements.
- Oversee the Anti-Money Laundering and Terrorist / Proliferation Financing training plans and local and international sanctions and provide the necessary support to ensure their effectiveness.
- Comply with all rules and regulations issued by DFSA regarding Anti-Money Laundering and Terrorist Financing and local and international sanctions

6.6 Department Heads:

- All DIFC employees, regardless of their position, must follow the DIFC's AML/CTF and sanctions policies and procedures, which clarify and lay out the relevant legislation and regulations.
- Informing all employees of their responsibilities, their personal duties and the penalties that they may be subject to as per the law in case they fail to comply with the relevant requirements as stipulated in the Anti-Money Laundering Law, and assuring them that they must adhere to the instructions issued by the compliance department.
- Ensure that the requirements of the compliance department are applied in the policies and procedures of the departments, units and divisions as per the positions they are holding.
- Spreading awareness of the need to comply to AML/CTF regulations and reporting any suspicious transaction to the compliance department following the procedures for that.
- Continuous support for the development of electronic bank systems for their units, and departments, and the application of regulatory controls that include mitigating money laundering and terrorist financing risks.
- Provide the necessary awareness to customers in relation to the prohibited activities for example, investing with unlicensed service providers or donating to any authorized or unauthorized charities and the potential consequences in coordination with the AML/CTF Department.

6.7 Head Compliance (& MLRO):

- Reviewing and endorsing the Anti-Money Laundering and Terrorist Financing document prior to its approval.
- Monitoring and reviewing policies and procedures in accordance with the latest Anti-Money Laundering and Counter Terrorist Financing rules, regulations and standards.
- Overseeing the DIFC's adherence with the relevant Anti-Money Laundering and Terrorist Financing rules and regulations and local and international sanctions.
- Reviewing and adopting the compliance monitoring program that includes the Anti-Money Laundering and Terrorist Financing Guidelines.
- Overseeing the department's daily activities in terms of management.
- Reviewing and approving the periodic reports that are submitted to the senior management and Head Office.

- Ensuring that an appropriate training program is prepared to cover the current AML/CTF regulations, and local and international sanctions and that it is provided to all members of Senior Management and Employees.
- Approving the Anti-Money Laundering and Terrorist Financing policies and procedures.
- Notifying SEO DIFC Branch urgently of any risks related to money laundering, terrorist financing, or local and international sanctions, if necessary.
- Approving the framework to assess the risks of products and services, channels, customers and countries.

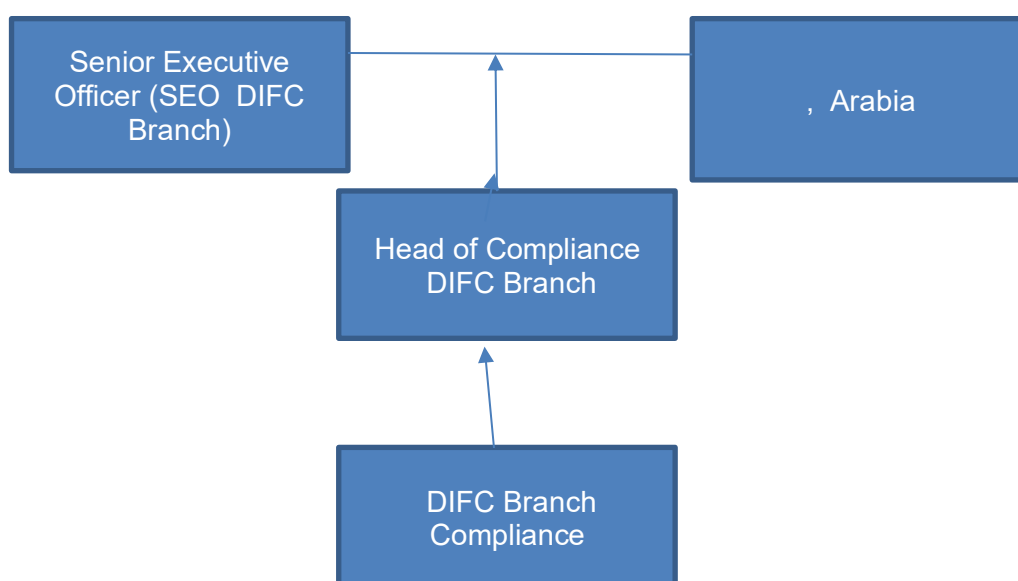
6.8 Responsibility as MLRO

- Establishing the necessary procedures and developing the systems that ensures the monitoring of all transactions in order to identify activities that may involve money laundering and terrorist financing.
- Establishing a process to receive suspicious transaction reports related to money laundering and terrorist financing from all the different business units in the DIFC.
- Establishing procedures to collect and analyze data on suspected cases received and taking the appropriate action in relation to them.
- Establishing procedures to carry out the process of reporting suspicious transactions to the Financial Investigation Unit (FIU).
- Developing automated systems to monitor and detect unusual transactions related to money laundering and terrorist / proliferation financing activities.
- Presenting proposals aimed at developing policies, plans, procedures and internal controls in the field of Anti-Money Laundering and Terrorist Financing and sanctions.
- Establishing procedures to ensure that all front-liners and different business units' employees adhere to the Anti-Money Laundering and Terrorist Financing policies and procedures adopted, and local and international sanctions.
- Support the Compliance department in ensuring that the DIFC is in compliance with the Anti- Money Laundering and Terrorist Financing Guidelines.
- Choosing qualified employees to occupy positions in the department, and request training programs to ensure that they are provided with the latest knowledge on money laundering and terrorist / proliferation financing activities and local and international sanctions.
- Establishing a mechanism for preparing and submitting periodic reports on the department activities.
- Setting procedures to ensure full compliance with all circulars and requests received that were issued by DFSA / SCA / relevant regulatory authorities and related to the instructions for disclosures, freezing of clients' DIFC accounts.
- Establishing procedures to ensure that all data related to the department's activities are kept for retention.
- Establishing and approving a program to monitor the level of compliance with the Anti-Money Laundering and Terrorist Financing Guidelines, including continuous oversight visits to various business units in the bank.
- Representing the bank in the banking committee to combat financial crimes and money laundering.
- Overseeing the awareness and training process for the Bank's different groups in the DIFC in regards to Anti-Money Laundering, Counter Terrorist Financing and Sanctions.
- Overseeing the preparation and update of the Anti-Money Laundering and Terrorist Financing policies and procedures to include all rules, regulations and instructions.
- Representing the department in the Compliance Committee.
- Reviewing the bank's findings related to the adherence of the Anti-Money Laundering and Terrorist Financing Guidelines by DFSA, and work on preparing the necessary corrective action plans with the relevant business units and monitoring their implementation.

- Overseeing the development of training materials related to Anti-Money Laundering and Terrorist Financing and sanctions and the training plan for all DIFC employees.
- Supervising the awareness programs provided to employees at the bank.
- Establishing procedures to ensure business units are informed of organizational changes related to Anti-Money Laundering and Terrorist Financing, and local and international sanctions.
- Listing down the procedures and controls that ensure the bank's compliance with the United Nations Security Council Sanctions, FATF Business Bulletin, and local and International Sanctions.
- Approving lists of sanctions that the bank must adhere to.
- Setting procedures that guarantee the implementation of the Risk-Based Approach Policy and assessing the risks of customers, products, services, channels and countries from the Anti- Money Laundering and Terrorist Financing perspective.
- Approving the Anti-Money Laundering and Terrorist Financing and Sanctions suspicious indicators (or who acts on their behalf).
- Establishing procedures to assess the extent to which the business units in DIFC adhere to the Anti-Money Laundering and Counter Terrorist Financing measures, the requirements of the Financial Action Task Force and the local and international sanction lists, and raise that to the Senior Management and Compliance Committee if necessary.
- Establishing procedures to ensure that the DIFC's senior management receive a periodic update on the effectiveness of regulatory controls related to Anti-Money Laundering and Terrorist Financing and adherence to local and international sanctions.
- Notify the senior management urgently of any risks related to money laundering, terrorist financing, or local and international sanctions, if necessary

DIFC Branch Compliance Structure and Responsibilities (2nd Line of Defence)

Following is the organization structure of DIFC Branch Compliance:



DIFC must appoint an individual as their MLRO. The role of an MLRO is a licensed function and requires authorization from the DFSA.

The MLRO function

The MLRO function is carried out by an individual who is a Senior Manager of DIFC. The MLRO has the responsibility of implementing DIFC's AML policies, procedures, systems and controls and day-to-day oversight of its compliance with the / DFSA AML rules and any relevant AML legislation applicable in the DIFC. The MLRO for DIFC Branch is **d**.

Appointing a deputy MLRO

DIFC has appointed an individual to act as a deputy MLRO ('DMLRO') who would fulfil the role of the MLRO in their absence. It should be noted that a DMLRO need not apply for Authorized Individual status for performing this function. The DMLRO for DIFC is

6.9 AML/CTF Investigations staff:

The AML Investigations staff has all the authority granted to the head compliance in regards to the following responsibilities:

- Report cases of suspicion to the Financial Investigation Unit (FIU) through GoAml.
- Oversee the Anti-Money Laundering and Terrorist Financing investigation cases.
- Representing DIFC in the work of the banking committee to combat financial crimes and money laundering.

6.10 Monitoring Program Function of complying with the AML/CTF Guidelines and the relevant regulations:

- Preparing the "Anti-Money Laundering and Terrorist Financing Compliance Program" based on relevant rules, regulations and laws.
- Implementing the "Anti-Money Laundering and Terrorist Financing Guidelines" within the agreed timeframe by monitoring the regulations and ensuring that all relevant records and documents are kept.
- Preparing reports showcasing the results of the Monitoring Program for complying with the Anti-Money Laundering and Counter Terrorist Financing Guidelines, including the corrective plan agreed upon with the relevant business groups on a regular basis.
- Carry out field visits (scheduled/non-scheduled) included in the "Compliance Monitoring Program of the Anti-Money Laundering and Terrorist Financing Guidelines."
- Evaluating business unit risks from the Anti-Money Laundering and Terrorist Financing perspective and local and international sanctions.
- Monitoring the level of compliance of business groups in applying the principle of Know Your Customer (KYC), Due Diligence and Enhanced Due Diligence (CDD/EDD).
- Reviewing samples of customers classified as "High-Risk Customers" and evaluating the DIFC's level of compliance to applying the principle of KYC and the EDD procedures.
- Reviewing samples of customer relationships created through different channels. DIFC will review customer relationships opened during last quarter and will provide its feedback to business from KYC/AML perspective.

6.11 Investigations and Reporting Function:

- Investigate cases of suspected money laundering and terrorist financing received from various business units and the department's automated system and take the necessary actions.
- Preparing the necessary reports and copies of the documents related to the suspected cases and ensuring the accuracy of the data and information included in the reports.
- Sending communications, detailed studies and copies of documents of suspicious cases after MLRO approval to the Financial Investigation Unit (FIU).
- Maintaining all records, documents and data of suspected cases.

6.12 Search and Freeze Function:

- Receiving and working on the circulars and requests sent by DFSA/ Courts / FIU / Other regulatory authorities / law enforcement agencies that are related to the disclosures or freeze of accounts and no dealing requests in relation to money laundering, terrorist or proliferation financing and the instructions for detection, seizure and prevention of dealing.
- The DFSA has power under the Regulatory Law to restrict an Authorized Person from disposing of or transferring property including, for example, assets or other funds suspected of relating to money laundering. It may also apply to the Court for an order restraining a person from transferring or disposing of any assets suspected of relating to money laundering. In cases involving suspected money laundering, the DFSA will usually take such action in co-ordination with the FIU.
- Preparing the necessary technical and detailed study reports, providing copies of documents related to circulars and requests, and ensuring the accuracy of data and information included in the reports.
- Send technical and detailed reports and copies of documents after their approval to the relevant authorities at the specified time.
- Maintaining all records, documents and data on circulars and requests.
- Notifying the Head Compliance in the event of a suspicion in the dealings of one of the clients inquired by the regulatory authority.
- Preparing periodic reports for the function of regulatory investigations.
- Responding to regulatory instructions received by the department regarding the disclosure or freeze of accounts and dealing prevention in addition to inquiries.
- Maintaining copies and records of the periodic investigations.
- Adherence to the Guidance of the Implementation of the Executive Office / Security Council resolutions (UN) related to Countering Terrorism and its Financing.
- Immediate freezing without delay of any relationships, accounts, or financial dealings with the names included in the lists.
- Notifying regulatory authority (executive office) immediately when any accounts, relationships, or financial transactions are frozen.
- Suspending any financial relationship or dealings with any of those listed in the lists, and notifying the relevant regulatory authority.
- Keeping the freeze imposed on the individuals and entities till the clarification is provided by the regulatory authority.
- Reviewing the multiple sanction lists and keeping them up-to date.

6.13 Efficiency and Development Function

- Setting the Anti-Money Laundering and Counter Terrorist Financing controls within the bank systems in coordination with the relevant teams in the bank.
- Following up on the implementation of projects related to Anti-Money Laundering and Counter Terrorist Financing.
- Developing the work tools for the department's functions.

- Preparing the department's comprehensive MIS report.
- Developing the department's systems for monitoring suspicious transactions/activities, and the continuous screening of names on sanctions lists.
- Receiving reports of the suspicious transactions related to money laundering or terrorist financing from business groups and register them in the department's AML System.
- Preparing periodic reports of suspicious cases.
- Full supervision of the automated Anti-Money Laundering System.
- Insertion of the sanctions lists in the Sanction Screening System.
- Testing control tools on a periodic basis to ensure their effectiveness and efficiency, and developing them based on the results of periodic tests, and documenting them.

6.14 Advisory and Risk Function:

- Developing the department's policies and procedures based on regulatory requirements and updating them.
- Reviewing the policies and procedures for all business units in the bank and ensure that they include instructions and controls for Anti-Money Laundering and Counter Terrorist Financing and sanctions.
- Assessing the products, services and banking programs offered by the bank and ensure that they comply with the requirements of AML/CTF and Sanctions.
- Maintaining up-to-date and complete records of all regulatory rules, regulations, and directives regarding AML/CTF and Sanctions.
- Preparing reports of organizational updates related to Anti-Money Laundering and Counter Terrorist Financing and their impact on the bank's business and products.
- Informing the business units of the bank of the updates and developments that occur in the regulations, rules and requirements of AML/CTF.
- Submitting reports on the activities of the Anti-Money Laundering and Counter Terrorist Financing Department to the senior management / group compliance office, which include statistical data in addition to identifying obstacles and challenges facing the bank to implement the requirements of AML/CTF and the necessary recommendations to improve performance and effectiveness.
- Providing the Training and Development Department with the general training requirements for Anti-Money Laundering and Counter Terrorist Financing and following up on the implementation of training plans.
- Designing Anti-Money Laundering and Counter Terrorist Financing communication and awareness programs.
- Following up on the bank's observations related to adherence to the Anti-Money Laundering and Counter Terrorist Financing Guidelines by regulatory authorities and work on developing the necessary corrective action plans with the relevant business units and follow up on their implementation.
- Providing business units in the bank with high-risk relationship standards, including Politically Exposed Persons (PEPs).

6.15 Sanctions Function:

- Review the sanction lists issued by the United Nations Security Council, OFAC, the European Union and the UK Treasury, in addition to local sanctions (issued by EOCN) that apply to the bank's businesses and activities.
- Designing and updating the guidelines to deal with local and international sanctions.
- Providing the concerned business units in the bank with updated instructions related to the dealing with local and international sanctions.
- Advising business units on local and international sanctions.
- Monitor the changes to the alerting bulletins issued by FATF.
- Designing and updating the guidelines for dealing with the alerting bulletins issued by FATF.

- Advising business units on recommendations and business bulletins issued by FATF.
- Investigating the matching of names/cases that are raised from the relevant business entities resulting from screening all relationships in the bank against the local and international sanctions lists and take appropriate action in relation to them.
- Investigate the generated alerts by the Sanctions Screening System and transactions sent by the Operations Division ().
- Reviewing and monitoring the closed alerts by the Sanction Screening System against the local and international sanctions lists to ensure the necessary standards and procedures are applied.
- Evaluate relevant business unit procedures that requires screening of names, entities and banks against local and international sanctions lists to ensure that any legal issues or potential risks that the bank may face are mitigated.
- Notifying the Head Compliance / MLRO in case there is a suspicion in the dealings of one of the clients inquired by the correspondent banks.
- Evaluating the relationships of correspondent banks and financial institutions from the Anti- Money Laundering and Terrorist Financing and sanctions perspective in coordination with the concerned Compliance employee.
- Designing and updating the Anti-Money Laundering and Terrorist Financing questionnaire prepared for inquiries by the correspondent banks and other financial institutions.
- Designing and updating the AML/CTF statement prepared to answer the inquiries of correspondent banks and other financial institutions.
- Developing training and awareness programs related to sanctions.
- Preparing reports for the sanctions function.
- Maintaining all records, documents and data related to the sanctions function.
- Defining the sanctions lists that the bank must adhere to.
- Ensuring that sanctions lists are included in the Sanctions Screening Systems.
- Designing and updating the guideline for conducting CDD/EDD upon suspicion of being used in the manufacturing of weapons of mass destruction and related materials.
- Determining and listing the materials that can be used in the manufacturing of weapons of mass destruction or related materials in the sanctions lists and the Sanctions Screening System.
- Developing, implementing and routinely updating a Sanctions Compliance Program (SCP).
- Quality Assurance Function (through RCSA):
- Receiving due diligence requests from the results of RCSA and determine the necessity of it, while detecting any observations, if any.
- Reviewing and monitoring a sample of closed cases to ensure that the necessary standards and procedures are applied.
- Responding to requests received by the unit regarding due diligence requests, account corrections, and relationships termination that are related to money laundering issues.
- Following up on Money Laundering issues and detecting errors on the investigations and reporting.
- Working to improve and develop the quality of investigations

6.16 Employees Dealing with Clients (Front-liners):

- Comply with policies and procedures related to banking relations with clients.
- Meeting the client in person when starting the relationship (through the Branch) and verifying the original of the Identity Document.
- Full implementation of the principle of knowing your customer and obtaining all the required information and documents based on the legal entity of the customer.

- Not to deal with clients except after confirming the legal capacity of the customer to deal on the account, and by legal capacity we mean being eligible with their full will.
- Not to deal with clients unless the identity has been validated.
- Comply with the principle of due diligence and enhanced due diligence and conducting field visits based on the approved policies and procedures.
- Being cautious when dealing with high-risk clients.
- Verifying the sources of funds and the purpose of the transactions before initiating the clients' financial transactions.
- Ensuring that the account movement is consistent with its nature and that it is used for the purpose for which it was opened.
- Informing the department immediately of any suspicion related to money laundering or terrorist financing activities or sanctions, or if the customer refuses to provide the bank with the required information.
- Be fully aware of their responsibilities towards Anti-Money Laundering and Counter Terrorist Financing and Sanctions.
- Take the necessary measures to determine the ultimate beneficiary of the banking relationship.
- Take the necessary measures to determine the purpose of the banking relationship.
- Sending all documents received from the customer such as (photo IDs, salary information, basic and additional account opening documents, authorizations and agencies, check book requests, credit card requests, account update forms and account closure requests when closed) to the competent department for archiving, according to the relevant procedures in the bank.
- Conducting continuous monitoring of "know your customer" information file and transactions activity.
- Tipping off the customer or any other party of suspicions is considered a crime and the violator will be held fully responsible.
- Respond to due diligence inquiries and ensure that accurate, correct information and documents are provided.

6.17 All Bank Employees, Including Contract Workers:

- All bank employees, full-time and contract workers, regardless of their position, must follow the bank's Anti-Money Laundering and Counter Terrorist Financing, and sanctions policies and procedures that details the relevant legislation and regulations.
- Tipping off the customer or any other party of suspicions is considered a crime and the violator will be held fully responsible.
- Applying internal disciplinary procedures as well as criminal prosecution and/or external organizational penalties in the event of failure to follow any AML/CTF or Sanctions procedures.
- Informing the department immediately of any suspicion related to Money Laundering or Terrorist Financing activities or Sanctions Concerns.
- In case of suspecting Money Laundering, Terrorist Financing and Sanction activities, then you are obliged to report this suspicion to the AML/CTF Department by using the following;
Email UAE-COMPLIANCE@.com
- Report violations related to sanctions through the Sanctions Suspicious Transaction Report.
To view the Indicators of Suspected Money Laundering, Terrorist Financing and Sanctions, you can visit the Rules, Regulations and Guidelines issued by DFSA.

6.18 Internal Audit AML Rule 9.4.1:

- Carrying out an independent assessment to assess the level of compliance to the applicable policies and procedures and all controls are in place in the field Anti-Money Laundering and Counter

Terrorist Financing and sanctions in the bank, and submitting the findings reports periodically to the Audit Committee.

- The Audit Division should conduct a periodic evaluation to ensure reliability and effectiveness of the dedicated system for Anti-Money Laundering and Counter Terrorist Financing and the Sanctions Screening System.

6.19 Information Technology Management:

- The Information Technology Division must provide financial transactions information in a clear manner and ensure that the information in the bank's systems is completed efficiently and effectively so that the department carries out the tasks related to technical systems, as follows:
- Ensure that there is a correct and complete description in the bank's systems of all executed transactions, used channels, and products and services.
- Ensure that all transactions in the bank's database contains the full data of the transactions parties in terms of time, date, amount, purpose, source of funds, country, city, the channel through which the transaction was executed, and any other information related to the transaction.
- Determine the branch/channel used, device number, and teller number, including the IP address of the device and the country through which the transaction was initiated and maintained in the database for easy reference.
- Ensure the effectiveness of the Anti-Money Laundering and Counter Terrorist Financing systems, know your customer and the regulatory controls listed in the bank's systems.
- Verifying the effectiveness of all the controls included in the bank's automated systems and ensuring that the approval of the Compliance department is obtained in the event that any internal or external party desires to adjust or amend these controls.
- Ensure that the automated Anti-Money Laundering and Counter Terrorist Financing system acquires and captures all financial transactions, related information, all customer information, and continuously resolving any error that results in the exclusion of any of the mentioned information.
- Providing tools that includes searching and providing complete information on all relationships to the client in all their cases, ensuring that the department carries out tasks to respond to queries from regulatory authorities, analyze, investigate and report.
- Ensure the effectiveness of the technical systems used in the freezing and unfreezing made by the department for relationships and accounts, and limit the authority to the department.
- Give top priority to technical projects related to the controls needed to mitigate the risks of money laundering and terrorist financing.

6.20 Operations Management:

- Receiving and processing requests for the implementation of due diligence requests sent by the department, and working to process requests in a way that ensures the speed and accuracy of implementing due diligence procedures and enhanced due diligence procedures.
- Reviewing the customer information in accordance with the "Know Your Customer" principle to take the necessary and sufficient action to ensure the data accuracy of the accounts/relationships, whether they are newly created or updated, and applying the highest quality standards to ensure customer information and data inputs are aligned with documents and requirements for creating/updating, and providing business groups with identified errors and following up with corrective action plans; while informing the Senior Management.
- Ensuring that all transaction parties are screened against international and local sanctions lists when initiating the transactions, and follow the instructions related to sanctioned countries/entities and any instructions issued by the Compliance Group.

- In the event of an actual/valid match that one of the clients, dealers, or one of the transaction parties is included in the sanctions lists, the department (the sanction unit) must be notified immediately.
- Inform the department immediately of any suspicions related to money laundering activities and financing terrorism.
- Investigating the potential match alerts against the sanctions lists, and informing the department in the event of an exact match.
- Maintenance of legal entities and the associated controls through requests received from business groups after obtaining the approval of the Compliance department.

7. Implementation

7.1 Know your Customer (KYC) Principle AML Rule 14.4.2:

The bank has adopted the principle of "know your customer" that enables employees to know their customers and better understand their financial transactions in order to manage their risks and avoid misusing the bank's products and services - whether intentionally or unintentionally - of money laundering activities and terrorist financing, where the principle of knowing your customer and due diligence represents the minimum requirement in determining the identity of clients and their records, the bank can use reliable and independent sources to verify the information, documents and data provided by the clients

7.2 Elements of "Know Your Customer" Principle

- Determining the legal entity of the customer and then define the necessary regulatory requirements, documents and approvals to accept the relationship.
- Follow the procedures for determining the identity of the customer and the ultimate beneficiary of the relationship, and performing site-visits in the event that the customer is a large commercial facility or company, provided that these visits are properly documented while keeping records in the customer's file.
- Obtaining personal and financial information related to the nature of the customer's activity, source of funds and wealth, the purpose of the relationship, and capturing minimum KYC of authorized persons, agents, and guardians of the relationship. Provided that all of the abovementioned shall have supporting documents.
- All business groups in the bank must put in place the necessary procedures to ensure that customers' KYC is updated periodically in proportion to the relationship risk classification. Also, in the event of any change in the usual pattern of the customer's financial transactions or the expiry of the Identity Document, customer information must be updated. (Details regarding the customer risk classification will be included in the KYC policy and procedures).
- In the event of failing to validate the customer's data in the phase of starting a new relationship; or in case of having doubts related to the KYC criteria or the accuracy of data; the bank should not allow the opening of the account or start the relationship or initiate transactions. Additionally, an STR must be raised to the AML/CTF Department in order to notify the Financial Investigations Unit (FIU) through GoAml.
- If the relationship is established for the natural person through alternative channels, the identity data must be validated using documents, data or information from a trusted and independent source and to be documented.
- .

7.3 Basic Criteria for Customer Acceptance:

The following criteria is considered a prerequisite when accepting customer in different business units. Below requirements should be met according to the degree of customer risk and includes the following elements.

Standards	Policy
Legal Requirement Documents, and Approvals Required to Accept and Update Banking Relationships	Full compliance with the Guidelines for FIs (AML and CFT and Illegal Organisations) / and all instructions issued by DFSA and AML/CTF Guidelines
The Ultimate Beneficiary	The ultimate beneficiary of all accounts and relationships must be identified and due diligence must be conducted for all-natural beneficial owners, as for legal entities and corporations; the identity of the natural person who owns or controls (25%) or more of the legal entity's ownership must be captured. More details will be mentioned in the Know Your Customer (KYC) Policy and Business Unit procedures
Verifying the Identity of Customers	• It is not allowed to accept any customer relationships under unknown, fake or coded names. • The identity of the customer must be verified by looking at the original document or by using independent, and reliable sources, • The ultimate beneficiary of the relationship must be determined (the identity of the natural person who owns or controls (25%) or more of the legal entity's ownership must be captured). • Viewing and verifying the ownership structure of legal persons to know the ultimate beneficiaries (natural owners) who have ultimate actual control and identifying their identities. • Identification and identity verification documents related to Beneficial Owners, shareholders, nominee shareholders, directors and senior management officers and, in the case of Legal Arrangements, settlors or founders, protectors, beneficiaries, trustees or executors, governing council or committee members, or similar controlling persons • Conducting the necessary site- visits and or taking proof of address, both when starting the relationship/updating it according to the approved procedures for that and reflecting it in the bank's systems. •
Purpose of the Relationship	• The purpose of the relationship must be obtained. • It is necessary to know the nature of the customer's activity.
Due Diligence and Enhanced Due Diligence (CDD and EDD)	• Enhanced due diligence and due diligence procedures should be applied as outlined in the AML/CTF Guidelines, Anti-Money Laundering and Terrorist Financing (AML/CTF) Law and cabinet decisions and any local or international requirements and instructions. • When establishing a relationship with a corporate entity client or updating data, company owners should be verified to ensure that the bank identifies the ultimate beneficiary controlling the entity. • High risk customers must update their KYC information once a year. • Medium and low risk customers must update their KYC information every 2 and 3 years respectively.

Sanctions (Local list/UN/OFAC/HKMT/EU etc.) and Non-Dealing Lists	- Any relationship with any of the names classified as "listed persons" by local authorities, the United Nations Security Council committees, or both must not be accepted. - No relationship with any bodies, companies, organizations, foundations, etc. should be accepted if one of the ultimate beneficiaries or senior managers are classified as "listed persons" by local authorities, the United Nations, or both
Customer-Risk Assessment from AML/CTF Perspective (CADD)	Procedures for dealing with relationships classified as "high-risk" should be defined, including Politically Exposed Persons and the individuals associated with them, and comply with what is stated in the outputs of the customer risk assessment and the application of the criteria used to determine the risks, whether for money laundering risks or terrorist financing risks and sanctions.
Approval of High-risk Relationships from AML Perspective	- Senior Management approval is required for High- Risk customers from an AML/CTF perspective. - The KYC update of High-risk customers must be conducted once a year by the respective Business Units

7.4 General Requirements Applicable for All Relationships

RMs must follow the below minimum procedures when accepting new relationships and/or processing transactions:

- Only accept customers with good reputation who are willing to cooperate and provide the needed documents and information.
- Obtain proper and valid identification documents as per / DFSA Rules.
- Accept customers who are willing to provide information on their previous dealings or previous relationships existed with and other banks. Relationship officers should seek information on the customer's relationship with other banks and may seek information from these banks if banks suspicions were raised about their dealings with the customer. Extra due diligence is needed, if the bank has reason to believe that other bank(s) rejected this relationship.
- Customer meets the target market criteria.
- Apply risk assessment and profile customer accordingly.
- Establish identity of the customers and all the natural beneficial owners, partners, managers, shareholders, powers-of-attorney holders and authorized signatories... etc. if the beneficial owner of an entity happens to be in another entity, beneficial owners must be determined as per /DFSA rule.
- Anonymous fictitious name, coded or numbered account is not be allowed.
- For Corporate relationships, Department head approval is required.
- Businesses within may refer customers to each other as long as business rational is provided. The receiving business must re-establish the relationship according to the required customer acceptance and customer identification policies & procedures pertaining to their group.
- No relationship should be established for a sanctioned or SDN name. The following measures must be strictly followed:
- Account beneficiaries must be screened against Sanction lists.
- Legal entities beneficial owners, partners, managers, powers-of-attorney, authorized signatories, shareholders must be screened against sanction lists.
- When blocking or freezing of funds for customer is done based on /DFSA instructions, new relationship or dealing with this customer/name needs to be refrained until /DFSA formally clears the name(s).
- The Bank shall comply with all anti-money laundering laws and regulations in force and applicable to it from time to time and may at its discretion call for additional details or information and provide the same to regulatory authorities involved in the said operations.
- For juristic entities, the account shall be in the name of the entity or a department in that entity. No account shall be opened under the name of chairman, managers for managing funds or any other individuals.
- Relationship Manager must take immediate action when opening an account or enter into any transaction, knowing that the funds or property involved are owned or controlled by terrorists or terrorist organizations or that a

transaction is linked to, or likely to be used in, terrorist activity by reporting the transaction to their immediately to DIFC Compliance.

- The account officer should exercise extra due diligence if there is any evidence of the relationship being used for different purpose than what was declared by the customer or the account type it meant to be.
- Beneficial Owner(s) of the account, despite the relationship type, should be determined for all accounts.
- When a PEP or a Related Individual is identified, enhanced due diligence will be required, details on PEP or Related Individuals must be obtained on the position in government and/or in the entity if a commercial relationship, and is subject to senior management (SEO) / his designee Approval.
- Proof of income/repayments should be obtained from the client wherever possible. – As applicable.

Specific Requirements in Addition to General Requirements

- All high-risk relationships must be subject to close monitoring by a senior RM covering unusual or suspicious activities.
- Ensure that the FIs / counter party is not under sanctions by the UN / Arabia/ UAE. It is recommended not to deal with banks sanctioned by OFAC, EU or UK (HMT).
- The beneficiaries and the remitters should not be under sanctions by the UN or Arabia/ UAE.
- Determine from publicly available information (e.g., internet/ bankers almanac) whether the FIs / counter party has been subject to any money laundering or terrorist financing investigations or regulatory action.
- Classify the accounts as High Risk, unless the business provides proper justification such as the FIs works under similar regulations, the long-term and problem free relationship with , or the bank is one of the top 100 banks worldwide, etc.

- Obtain certification of AML/CTF compliance for all correspondent relationships, which should include the following information:

The location, major business activities, and management.

That they are under jurisdiction of the DFSA or a similar monetary authority and are committed to the FATF recommendations.

That they are governed by and committed to AML/CTF and KYC policies and procedures.

That they have procedures in place for reporting suspicious transactions.

That they are not dealing with any Shell Bank.

Any other pertinent information that can reassure the bank that sufficient focus is being directed to combating money laundering and terrorist financing.

The certification should be either renewed or confirmed by the FIs every three years.

For Government relationship the following must be adhered to:

- All incorporation documents or decree.
- The relationship shall be in the name of the Government department, agency or authority and not in the name of a natural person or his position or job.

For Financial Institutions relationships:

- Dealing only with registered and regulated companies.
- Verifying and being satisfied with the company/institution's reputation and integrity.
- Establishing that the company has in place a sound documented due diligence process, including KYC and identification requirements, and activity monitoring for its customers, that is satisfactory to the bank. This can be achieved through filling the questionnaire for Financial Institutions.
- Establishing that the company has in place written policies, procedures and internal controls to address the risks of its business being used as a vehicle for illegal activities, including the establishment of management controls to prevent the involvement of the insurance company in money laundering and terrorist financing schemes. This can be achieved through filling the questionnaire for Financial Institutions.
- Classify the accounts as High Risk.

- Obtain senior management approval for opening and maintaining the relationship. DIFC Compliance Head and SEO Approval to be obtained as applicable.

For Politically Exposed Person (PEP) and Related Individuals (RI) relationships:

- For all PEP relationships the following standards must be applied:
- Relationship manager must identify and categorize politically exposed persons (PEPs) and “Related Individuals” for new and existing accounts.
- PEPs accounts require SEO (DIFC) approval and DIFC Compliance Head review or his designee for opening and maintaining the relationship.
- Annually the Business Head must take a decision to continue to maintain PEP relationships. The Business Head must also obtain the SEO, or his designee, approval to continue or discontinue the relationship.
- When taking such decision, the Business must:
Refer any questions as to whether or not an individual is the PEP or a related individual to DIFC Compliance.
- Inquire about the reputation of the PEP or a related individual
Review generally available public information regarding the PEP or related individual and must document the result of the inquiry.
Where a customer has been accepted and the customer or beneficial owner is subsequently found to be, or subsequently becomes a PEP. Appropriate enhanced due diligence should be performed and approval to continue the business relationship should be obtained.

For Wire Transfers, regardless of customer type

- No incoming transfers (loan repayments etc.) shall be accepted without the full originator information (name, address and account number). Failing to obtain information from the remitting bank, may be considered as a cause for suspicion and reassessing the relationship with the remitting bank or money exchanger. Same information must be provided for all outgoing wire transfers (disbursement of loans etc.). Funds must be held with Operations until information is obtained from the originating bank, otherwise, it needs to be returned and reported to DIFC Compliance.
- Purpose of the transfers should always be obtained as per DFSA/ requirements. The bank may obtain additional information from the client such as the relationship with the beneficiary in case enhanced due diligence is required

7.5 Customer Risk Assessment AML Rule 14.4.2, 5.1.1, 6.1.1 (1)

DIFC Branch is required to identify, assess, and understand risks in concert with its business nature and size, and comply with the following:

- a. Considering all the relevant risk factors such as clients, countries or geographic areas; and products, services, transactions and delivery channels, before determining the level of overall risk and the appropriate level of mitigation to be applied.
- b. Documenting risk assessment operations, keeping them up to date on on-going basis and making them available upon request.

The ultimate purpose for conducting a customer risk assessment is to develop understanding of the ML/TF and PF risks generated by clients, so that, when interacting with higher-risk clients, staff can more effectively allocate resources and implement more robust controls to mitigate the risks associated.

The customer risk assessment focuses on evaluating the risk that individual or corporate clients present in relation to ML/TF/PF. The CRA's include identifying high-risk clients, adjusting monitoring and due diligence procedures accordingly, and mitigating specific risks associated with them. This involves analyzing customer characteristics, behaviors, transaction patterns, and geographic risks to assess the likelihood of involvement in financial crimes. This assessment helps determine the appropriate level of due diligence and monitoring required, especially during customer onboarding and periodic reviews.

This risk assessment must, at minimum, factor in the type of customer (individual or corporate) prior to moving forward through the next steps of due diligence processes, jurisdiction of the customer, purpose and intended nature of the customer's business, the beneficial ownership transparency (the complexity of the legal structure and controls of the

ownership of the customer), the product and/or service offered, and the delivery channel. The result of the CRA determines the customer's risk rating.

The outcome of the CRA, which could be descriptive (i.e., High, Medium and Low) or numerical (i.e., 1 to 10), will determine the level of Customer Due Diligence (CDD) to be performed and the frequency of reviews to be undertaken in relation to that customer. For example, where a customer poses higher risk and is rated high risk from ML/TF perspective, it will be required to conduct Enhanced Customer Due Diligence (Enhanced CDD).

When it is required to apply the CRA?

- Onboarding New Customers: Prior to establishing a business relationship with a customer, and at regular intervals throughout the business relationship, depending on the risk rating of your customer.
- Periodic Reviews: Whenever there is a change in the customer's circumstances or the nature of the business relationship. For example, change in ownership, nature of the products or services being offered, or transaction patterns (i.e., unusually complex transaction).
- Change in risk factors: Whenever there is a change in any risk factor triggered by NRA/SRA, a change in regulation or guidance, sanctions listings, or adverse media related to the customer, industry, or jurisdiction.

Customer Risk Factors:

The following are the risk factors that must be taken into consideration when conducting a comprehensive CRA:

Customer Risk	Geographic Risk	Product/Services Transaction Risk	Delivery Channel Risk	Other Risks, that may be applicable
				

³ Cabinet Decision No. (10) of 2019 concerning the Implementing Regulation of Federal Decree Law No. 20 of 2018 on Anti-Money Laundering and Combating the Financing of Terrorism and Illegal Organizations, as amended by Cabinet Decision 24 of 2022.

Customer Risk Factors	• Nature of the business relationship (one-off interaction (walk-in customers)/repetitive transactions/ Regular interactions or services) • Business that are cash-intensive • Use of large amounts of cash in the customer's business model/ Industry/business activities. • Non-resident customers. • The complexity of the legal, ownership or network structure of the customer(beneficial ownership transparency), Including involving of nominee shareholders, directors or bearer shares. • The type of clients the customer serves (i.e. high net worth individuals, PEPs). • Past compliance issue. Reluctance to provide information, Reluctance to disclose information or provide documents, inconsistencies in documentation, or evasive behavior during interactions • The most recent results of the National Risk Assessment ("NRA")/ Sectorial risk assessment (SRA). • Customers working in high-risk industries, Business Relations or Employment in High-Risk Countries, Business activity or employment involves the sale or purchase of dual-use goods, proliferation-sensitive or military goods, particularly with higher risk jurisdictions. • Adverse media screening results. • Any STR/SAR been filed against the client, UBO, or any related party
Geographic Risk Factors	• Engagement with clients located in/operating in, or their UBOs (nationality and residency)/source of funds from:

	- High-risk countries: Assess the risk of engaging with clients from countries identified as high-risk for money laundering and terrorist financing. This includes countries classified by FATF under black or grey lists, as well as those identified by the UN for terrorism financing (TF) and proliferation financing (PF). - Sanctioned countries: Engagement with clients located/ operates in countries under UN sanctions or embargoes presents heightened risks. - Countries having significant levels of corruption or other criminal activity. - Political Instability and high-risk countries: Engaging with clients/ operation related to CAHRA countries (Conflict-affected and high-risk areas). areas where there is an armed conflict, a lot of violence, including violence from criminal networks, or other risks of serious and widespread harm to people. High-risk areas are those where there is a high risk of conflict or of widespread or serious abuses. Political instability or repression, institutional weakness, insecurity, the destruction of civil infrastructure, widespread violence, and violations of domestic or international law are frequently present in such areas. - Countries or geographic areas identified by credible sources as providing funding or support for terrorist activities, or that have designated terrorist organisations operating within their country. - The above is applicable to client primary business location or headquarter, the country of citizenship or residency of the clients, the locations of incorporation or registration, the locations of linked parties and beneficial owners, and the jurisdictions from which the clients transact with the DIFC Branch
Product/service/ transaction type risk factors	- Services that involve significant cash transactions. - Luxury and high value product (e.g. luxury and high value properties, off-shore company's formation, high value or quantity of precious stones). - Formation of Off-shore corporates. - Customer requesting to set up of a complex structure to hide the beneficial owners' identity. - Providing nominee services. - Customer dealing in dual use goods. - Non-face-to-face business relationship. - Cross border transactions from high-risk jurisdictions. - A product, service or transaction that might allow for anonymity or confusion of the true identity of any of the parties involved in the transaction. - Payment received from unknown or un-associated third parties - New products and new business practices, including new delivery mechanisms or the use of new or developing technologies for a new or pre-existing product/services.
Delivery Channel Risk Factors	- Third-Party Intermediaries: The involvement of intermediaries or agents in transactions can complicate the understanding of the transaction's true nature. This increases the risk of money laundering if the intermediaries are not thoroughly vetted. - New products and/or new business practices involving new delivery channels for new and existing products/ services, with newly developed technology. - Assessment of customer acquisition methods and/or relationship management with respect to the channel that the primary product/service is offered through. - The use of non-face-to-face channels (i.e., through electronic means), especially when the customer lacks safeguards for means of electronic identification. - Payments received from unknown or unassociated third parties. - Involvement in virtual assets - Non-Traditional Payment Methods: The use of alternative payment methods, such as cryptocurrencies or prepaid cards
Other Risk Factors	- Newness and/or innovation of product, service, or delivery channel, which may not have been established in the market yet. - Assessment of operational processes with respect noncyber security, use of third parties and/or virtual assets. - The findings of the recent National/ Sectorial Risk Assessment should be taken into consideration. In addition, to other reports and guidance's issued by the FATF, MENAFATF.

	• A National risk assessment is a comprehensive evaluation carried out by a country to identify, analyze, and understand potential threats and vulnerabilities it faces from money laundering, terrorism financing and proliferation financing. The findings of these reports includes scoring the risks for each sector and highlight the most important risks factors for each sector that potentially will be more vulnerable to be misused by criminals for ML/TF/PF.
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Applying of the Risk Based approach (AML-CFT Law Article 16.1; AML-CFT Decision Article 4.1)

The Risk Based Approach (RBA) involves: identifying, assessing, and understanding the money laundering and terrorist financing risk to which they are exposed, and proactively taking the appropriate mitigation measures in accordance with the level of risk.

Implementing a Risk-Based Approach (RBA) enhances the effectiveness of AML/CFT/CPF efforts by enabling a more tailored strategy for risk management. By assessing and categorizing clients and transactions based on their risk profiles. it allows to allocate resources more effectively by concentrating on areas with the highest risk of financial crimes.

The RBA will be reviewed and updated regularly to reflect changes in customer profiles, emerging risks, and regulatory requirements. DIFC will also integrate findings from the National Risk Assessment (NRA) and Sectoral Risk Assessment (SRA) into RBA to ensure comprehensive coverage of risks at both customer and institutional level.

Once identifying higher risk clients to implement Enhanced due diligence, the weight of some factors needs to be higher and affect the final risk score for the client, particularly when:

- Dealing with PEPs (Local, Foreign).
- Dealing with clients from FATF's Black list (High-Risk Jurisdictions subject to a Call for Action).
- Dealing with clients from FATF's Grey list (Jurisdictions under Increased Monitoring).
- New products and new business practices, including new delivery mechanisms or the use of new or developing technologies for a new or pre-existing product. Including non-face to face dealing and payment in virtual assets, ...)

DIFC Branch has defined a below scale for assessing the risk levels associated with each factor.

3 = Low Risk

5 = Medium Risk

10 = High Risk

The first step of conducting an ML/TF business risk assessment for DIFC Branch is to identify, assess and understand the inherent ML/FT risks (i.e., the risks that an DIFC Branch is exposed to if there were no control measures in place to mitigate them) across all business lines and processes with respect to the following risk factors: customers, products, services and transactions, delivery channels, geographic locations, and any other risk factors.

With the inherent risks as a basis, the DIFC Branch has determined the nature and intensity of risk mitigating controls to apply to the inherent risks. The level of inherent ML/FT risks influence the kinds and levels of AML/CFT resources and mitigation strategies which DIFC Branch is required to put in place. The assessment of inherent ML/FT risks and of the effectiveness of the risk mitigation measures has resulted in a residual risk assessment, i.e., the risks that remain when effective control measures are in place.

In case the residual risk falls outside the risk appetite of the DIFC Branch, additional control measures will be implemented to ensure that the level of ML/FT risk is acceptable to the DIFC Branch.

DIFC Branch is utilizing the methodologies of Basel II (as stated in the ORMD Manual) to analyze their risks, in keeping with the nature and size of their businesses. DIFC Branch has decided on both the frequency and methodology of an ML/FT business risk assessment, including baseline and follow-up assessments, that are appropriate to their particular

circumstances, taking into consideration the nature of the inherent and residual ML/FT risks to which DIFC Branch is exposed to, as well as the results of the NRA and Topical Risk Assessments.

DIFC Branch is performing the ML/FT business risk assessment on semiannual basis. DIFC Branch has put in place the relevant policies and procedures taking into consideration changes in internal or external factors.

As part of the model or methodology, DIFC Branch has considered including in their ML/FT risk assessment the following elements:

- Likelihood or probability of occurrence of identified inherent risks;
- Timing of identified inherent risks;
- Impact on the organisation of identified inherent risks.

The classification of identified risks are placed into different categories, such as very high, high, medium, low, or some combination of those categories. These classifications help DIFC Branch to prioritize their ML/FT risk exposures more effectively and determine the appropriate types and levels of AML/CFT resources needed, and adopt and apply reasonable and risk-proportionate mitigation measures.

DIFC Branch is to keep their ML/TF business risk assessment up-to-date on an ongoing basis. In fulfilling this obligation, DIFC Branch review and evaluate their ML/FT business risk assessment processes, models, and methodologies semiannually, in keeping with the nature and size of its business. DIFC Branch will also update their ML/TF business risk assessment whenever it become aware of any internal or external events or developments which could affect accuracy or effectiveness.

Risks identified at the national level (UAE National Risk Assessment) / other variables

On frequent bases, government issues and updates potential money laundering risks identify at the national level. Each business, subsidiary and overseas branch must consider the country wide money laundering risks as significant input into determining the potential money laundering risks presented by the service offered.

Also, when assessing the money laundering risks relating to types of customers, countries or geographic areas, and particular products, services, transactions or delivery channels risk, business, subsidiary and overseas branch should take into account risk variables relating to those risk categories. These variables, either singly or in combination, may increase or decrease the potential risk posed, thus impacting the appropriate level of due diligence measures. Examples of such variables include:

- Purpose of the account relationship.
- The size of deposits or transactions performed by the client.
- The frequency of transactions or the duration of the relationship with the client.
- Previous suspicion of money laundering in

Assigning a particular risk rating for products or clients and deciding on the controls to mitigate the posed risks should consider previous suspicion of money laundering in . Such risk review shall take in consideration previous suspicion money laundering for products or type of clients.

7.6 Simplified Due Diligence and Enhanced Due Diligence:

The "know your customer" principle and due diligence measures are the minimum procedures adopted by the DIFC in identifying clients and maintaining customer records. These procedures assist in developing the risk profile for each client, and in determining the appropriate level of due diligence to be applied. Due diligence requirements represent the minimum requirements for all clients in proportion to the associated risks.

The Due Diligence Principle includes the following:

- Before starting a new business relationship.
- Before conducting any transactions in favor of a natural or legal person with no business relationship.
- Identify and verify the identity of the customer using documents, data or information from a reliable and independent source.
- Monitor the clients' financial transactions and determine the compatibility of the information provided by the customer and the bank's records.
- Checking whether any natural or legal person is acting on behalf of the customer while also making sure that it is permitted.
- Determine the persons who have ownership or control over the client.
- Ensure that all clients' business activities are understood.
- Ensure that the customer uses the account for the purpose for which it was opened.

Cases that require the Bank to perform Enhanced Due Diligence:

- When starting a relationship and initiating transactions that exceed the limits that have been disclosed.
- When the customer moves large amounts of money between his accounts with no clear reason.
- In the event of doubts about the accuracy or adequacy of the data previously obtained from the customer.
- In the event that the relationship is classified as a high-risk relationship, in the event of suspicion of money laundering or terrorist financing transactions, or if there is suspicion that the customer is listed on one of the sanctions, prohibitions, or any of the international lists, then Enhanced Due Diligence must be performed.
- Take additional measures if the bank knows that another bank has refused to deal with a specific customer for an Anti-Money Laundering and Terrorist Financing related reason.
- Initiating/receiving international transactions to and from countries classified as high-risk or by setting appropriate controls to mitigate the risk.
- In cases where there is a suspicion of money laundering or terrorist financing, and the belief that continuing to implement due diligence procedures will tip-off customer, these measures should not be continued and a notification to the Financial Investigation Unit (FIU) is required

Relationships that are predefined as high risk and not subject to downgrading

The below customer relationships are deemed high-risk and excluded from risk rate downgrading:

- Correspondent banking relationships (unless proper justification is obtained and limited to few banks) as defined below:
 - Correspondent banking is the provision of banking services by one bank (the "correspondent bank") to another bank (the "respondent bank"). Large international banks typically act as correspondents for thousands of other banks around the world. Respondent banks may be provided with a wide range of services, including cash management (e.g. interest-bearing accounts in a variety of currencies), international wire transfers, cheque clearing, payable-through accounts and foreign exchange services
 - Correspondent Securities Relationship as defined below.
1. A correspondent securities relationship is a relationship under which services in relation to securities are provided by a firm (the correspondent) to another firm (the respondent). Examples of services in relation to securities. buying, selling, lending or otherwise holding securities
- Non-banking financial institutions relationships.
 - Politically Exposed Persons "PEPs" and Related Individuals "RIs".
 - Money Changers,
-

- Insurance Companies,
- Designated Non-Financial Businesses and Professions (DNFBPs) as defined below
 - a. Dealers in Precious Metals & Stones, b. Dealers in Real Estate,
 - b. Lawyers (legal professionals)
 - c. Accountants
 - d. Notaries.
 - e. Dealers in Luxury goods,
 - f. Auction Houses,
 - g. Used Car Dealers,
 - h. Import/ Exports business,
 - i. Insurance Co.
 - j. Societies/ Charities/ Donations relationships.

Simplified Due Diligence Procedures:

Simplified due diligence measures can be applied when the risks of money laundering and terrorist financing is low and there aren't any suspicions of money laundering or terrorist financing activities. Simplified measures can be applied with low risk customers including measures to identify and verify the identity of the customer without violating any regulatory requirements.

Reliance on a third party to conduct CDD (DFSA AML Rule 7.7.1, 8.1)

DIFC may rely on the following third parties to conduct one or more elements of CDD on its behalf:

1. A DFSA regulated firm;
2. A law firm, notary, or other independent legal business, accounting firm or audit firm in another jurisdiction;
3. A financial institution; or
4. A member of its Group.

DIFC may also rely on the information previously obtained by a third party which covers one or more elements of CDD.

Where DIFC relies on a third party listed above, it may only do so if and to the following extent:

- a. It immediately obtains the necessary CDD information from the third party;
- b. It takes adequate steps to satisfy itself that certified copies of the documents used to undertake the relevant elements of CDD will be available from the third party on request without delay;
- c. If the third party is in another country, then it is
 - subject to requirements in relation to customer due diligence and record keeping which meet the standards set out in the FATF Recommendations; and
 - Supervised for compliance with those requirements in a manner that meets the standards for regulation and supervision set out in the FATF Recommendations;
- d. The third party noted above has not relied on any exception from the requirement to conduct any relevant elements of CDD which DIFC seeks to rely on; and
- e. The information is up-to-date.

Where DIFC seeks to rely on a member of its Group, such Group member does not have to comply with clause (c) above if:

- the Group applies and implements a Group-wide policy on CDD, and record keeping, PEPs and AML programmes which meets is equivalent to the standards set by out in the FATF Recommendations; and
- where the effective implementation of those CDD, and record keeping and PEP requirements and AML programmes are supervised at Group level by a Financial Services Regulator or other

competent authority in a country, the supervision and regulation meets the standards with AML regulations which are equivalent to the standards set out in the FATF Recommendations.

When making assessment to see if requirements, supervision or regulation in another jurisdiction meet FATF standards, DIFC must take into account factors including, among other things:

- a. Mutual evaluations, assessment reports or follow-up reports published by FATF, the IMF, the World Bank, the OECD or other International Organisations;
 - b. Membership of FATF or other international or regional groups such as the MENAFATF or the Gulf Co-operation Council;
 - c. Contextual factors such as political stability or the level of corruption in the jurisdiction (d) evidence of recent criticism of the jurisdiction, including in:
 - (i) FATF advisory notices;
 - (ii) Public assessments of the jurisdiction's AML regime by organisations referred to in (a); or
 - (iii) Reports by other relevant non-government organisations or specialist commercial organisations;
- and
- d. Whether adequate arrangements exist for co-operation between the AML regulator in that jurisdiction and the DFSA.

If DIFC is not reasonably satisfied with the CDD undertaken by a third party, DIFC must perform the CDD itself with respect to any deficiencies identified. Notwithstanding reliance on a third party, it should be noted that DIFC remains responsible for compliance with, and liable for any failure to meet, / the CDD requirements in the DFSA AML module.

Relationship Termination:

The AML/CTF Department has the right to reject a relationship/terminate a relationship/close the relationship based on the results of the case investigation and the applied due diligence procedures, and when failing to obtain information regarding the purpose and the nature of the business, or the inability to verify the identity of the customer, or when there is any sanctions concerns involving this relationship which requires terminating/rejecting the relationship, and the business units should act upon the Department's recommendations in this regard. In the case of terminating relationships with customers having financial obligations with the bank, business units must establish the necessary measures to end the relationship in accordance with policies and procedures that regulate the process of terminating the relationship.

Stop and Restrict Dealing: (limit dealing):

- The department has the right to stop future relationship establishment with customers, and forbid them from opening a bank relationship.
- The AML/CTF Department has the right to reject, report and/or block or take further action on the transaction and/or the customer following the investigation of the transaction from an AML/CTF/Sanctions perspective.

The Bank has no risk appetite in following situations:

- Accept assets known or suspected to be the proceeds of criminal activity.
- Maintain commercial relationships with individuals or entities known or suspected to be terrorists or criminal organizations, or included in the sanctions lists (as a minimum on the lists of the United Nations and regulatory authority).
- Accept commercial relationships without knowing the customer's name and the ultimate beneficiary and verifying their data.
- Maintain anonymous accounts, fake bank accounts or payable through accounts.

- Maintain correspondent bank accounts for banks that were established in a country where they are not physically present (such as shell banks).
- Accept or initiate any transfers that are for unregistered charitable purposes to/from outside of the UAE.
- The list of prohibited activities above must be read in conjunction with the "Know Your Customer" policy and procedures for customer acceptance.

Due diligence Based on Event-Driven Review:

- One of the main elements in the customer acceptance policy is the "Know your Customer" program.

The bank updates its customer information periodically, and if necessary, updates the customer's risk profile using adequate risk-based measures, to ensure that the customer data are up to date and the ultimate beneficiary is identified. If there is any change in external or internal factors that indicate an increase in the risks of money laundering and terrorist financing, the bank conducts its due diligence according to the degree and levels of risk.

The customer's risks can increase due to the following:

- Updates to country-specific risk lists in accordance with the risk methodology for country and geographical risks.
- Inclusion of the customer in the sanctions lists.
- Changes in customer risk classification according to the customer risk methodology.
- The incompatibility of the customer's account movement with the financial information.
- When a significant change has occurred in the customer's information.
- The event-driven review ensures that all clients are monitored from the perspective of the raised risk of money laundering and terrorist financing or on factors identified by the department

7.7 Financial Transactions:

- Financial Transaction Information:

All appointed employees are required to complete all required information, such as the purpose, source of funds, beneficiary information, the name of the depositor and their information, and must ensure that they are compatible before executing the financial transaction.

- Customer Information:

All appointed employees must ensure that the Identity Document of the customer is valid prior executing the transaction and that the necessary legal authority to carry out the transaction is available. Also, the assigned employees are prohibited from carrying out any transaction for any customer if they are included in the sanction lists.

- Dealing with suspicious cases:
 - a) In case of suspicion that the financial transaction may involve money laundering, the employee in charge must not tip-off or notify the customer of any information.
 - b) In the event that there are any doubts that the financial transaction will be used for unlawful purposes - such as terrorist financing transactions - then it is necessary to stop the transaction without tipping-off or notifying the customer of any suspicion.
 - c) The AML/CTF Department has the right to reject, report and block or take further action on the transaction and/or the customer following the sanctions investigation of the transaction.
- In the event that there is a suspicion related to bribery and corruption of one of the bank's customer working in the public/private sector, the employee in charge is obliged to immediately report this suspicion to AML/CTF Department.

- In all cases, the employee in charge must immediately inform the department of their suspicion of any customer dealings using Suspicious Activity Report Form (STR) and the suspicion of a financial transaction should include the reasons for the suspicions in details and all information of the suspect in their dealings.

Monitoring and Reporting

Upon receiving a suspicious transaction report, the department must act immediately to conduct the necessary investigations, review the transactions, request the necessary documents and information, and take the appropriate decision for the case. All suspicious transactions, including attempts to conduct a transaction, must be reported regardless of the amount of the transaction. Regulatory procedures should be followed in the event that the decision to report the suspected transaction to the Financial Investigation / Intelligence Unit (FIU). The department should lay down procedures for investigations and reporting of Money Laundering and Terrorist Financing that guarantee the effectiveness and efficiency of investigations. The procedures must also include a mechanism for keeping records and confidential arrangements. The bank also sends a report to strengthen the initial suspicious transaction report after a period of two months from the date of submitting the report to the Financial Investigation / intelligence Unit (FIU), and it should also submit a detailed report on the reported cases, and submit it to the Financial Investigation / Intelligence Unit (FIU), provided that the report includes the following:

- a. The account statement or the transactions
- b. Documents obtained from applying Due Diligence measures.
- c. Analytical report on the accounts study.

All concerned employees must be diligent when initiating transactions or when reviewing customer transactions in order to know if there are any unusual transaction that exceed the customer's usual pattern or that the transaction does not match the customer's information. Upon suspecting any transactions, they must report immediately to the department without notifying the suspect or any other party since this is a violation of the regulations and the responsible party will be held accountable.

All employees must review the Indicators of Suspected Money Laundering and Terrorist Financing' Guidelines issued by the Department.

The department should pay special attention to monitoring all transactions, and the use of the automated systems to facilitate the monitoring of transactions by detecting abnormal activities, alerts and notifications that define unusual transactions or activities.

Existing customers may become deliberately or unintentionally involved in money laundering/ terrorist finance activities through various transactions. Therefore, it is vital to all employees to:

- Remain vigilant at all times.
- Identify and discreetly research any unusual transactions or customer behaviour, and report it if suspicious to DIFC Branch Compliance. AML Rule 13.2.2
- Business, specially RMs, BMs and Sales Representatives, are primarily responsible for monitoring recently opened accounts through:
 - o Establishing normal pattern of expected activities at the account opening.
 - o Ensuring the activities are in line with customer's profile and purpose of the account.
 - o Ensuring that customer KYC information is kept up to date. They must, on an ongoing basis, update all KYC information fields. Those updates should include, but are not limited to: valid and relevant ID, contact details, beneficial owner of the account and source of all funds and where necessary, the source of wealth.

- o Ensuring all KYC fields in the account opening agreement and CADD form if applicable, are completed and accurate and that sufficient information is provided to be able to identify any unusual transactions/ behaviour.
- o Checking against Sanction System that the customer or the account controllers (owners, directors, or authorized signers) are not sanctioned names.
- o If there is any change in owners, directors (if a company) or authorized signers.
- o If there is a change in the nature or line of business that the customer conducts, profiling and risk assessment should be performed (i.e. update the CADD).
 - In case an alert is triggered on SAS-AML System, business is required to determine if the transaction or activity is consistent with what is expected from that customer and the transaction makes sense in terms of the stated purpose of account.
 - Any risks identified at the national level and any variables that may raise or reduce the risk of money laundering in a particular situation, including:
 - a. Purpose of the account or the relationship.
 - b. The size of deposits or transactions performed by the client
 - c. The frequency of transactions or the duration of the relationship with the client.
 - In case an alert is triggered on Sanction System) with regards to dealing with high-risk country, the necessary enhanced due diligence should be performed before commencing with transaction/ relationship establishment.
 - Ensure that there is a communication plan in place with dormant and inactive account holders, establish the reason and review the need, if any, for continuance. This will be in accordance with dormant account regulations in UAE.
 - Perform the annual review of PEP/ RI accounts and have it approved by the Senior Executive Officer or his designee.
 - Perform the annual review of High-risk accounts and have it approved by the Compliance Head / Business Head.

Significant changes to the customer's KYC information and/or to the customer transaction profile (CTP) should be made to the recorded information in the systems/ files should not be held until the next customer information or CADD review cycle. At any time, the information update is performed, RMs, BMs and Sales Representatives must ensure that the account continues to be used for the purpose originally stated.

The objective of Businesses' monitoring of customers' accounts is to understand the account at a transactional level and to have the ability to detect suspicious transactions and activities. The usage of CTP and other AML/CTF monitoring scenarios are only tools that will assist RMs/ BMs/ Sales Representatives to accomplish this objective.

As required by DFSA/ rules governing AML&CTF, all accounts are subject to ongoing monitoring. AMLCTFP require monitoring account on two bases:

- a. Staff monitoring: All staff are required to be vigilant when performing their daily jobs, and report any suspicious activity/transaction to DIFC Branch Compliance AML Rule 13.2.2. Each staff is required to familiarize her/ himself with the DIFC Branch AML/CTF/PF manual.
- b. System Monitoring: According to the regulatory requirement, has AML System in place to monitor customer's activities based on the following:
 - i. Customer Transactions Profiling (CTP): Where customer transactions are monitored based on the expected services and products to be used by the customer, the number of expected transactions, and their estimated monetary value per month as defined by RMs/Sales. This type of enhanced due diligence monitoring applies on all high-risk accounts and entities accounts.
 - ii. Rules/ Scenario-based monitoring: Where specific scenarios are defined to monitor customer transaction patterns for money laundering/ terrorist financing like structuring, matched transactions, high velocity of funds (incoming, outgoing wire transfers) and unusual aggregate behaviour... etc.

- iii. Threshold-based monitoring: Where specific transactions thresholds are defined to monitor customer's transactions against.

DIFC Branch Compliance is responsible for handling the alerts closure on the system; however, to ensure effective monitoring and to ensure that priority is given to the alerts/ activities that pose the higher risk, RMs\ BMs\ Sales Representatives are fully responsible to:

- i. Rate customer risk according to risk assessment covered above.
- ii. Exercising due care when conducting customer and transaction profiling.
- iii. Update their customer and transaction profiling according to EDD grid.

There are statutory obligations on all employees to report suspicious activities/ customers when facing situation where he/ she believes that this customer/ activity poses a money laundering/ terrorist financing risk to or its businesses. The reporting can be done by DIFC Branch Compliance as a result of an alert investigation or by any other staff. AML Rule 13.2.2

Staff Reporting: (1st and 2nd Line of Defence)

- Each RM\ BM\ Sales Representative and other front-liners and transactions-execution officers must familiarize her/ himself with the customer profile and transaction; RMs\ BMs\ Sales Representatives must report any suspicious transaction to DIFC Branch Compliance AML Rule 13.2.2. Also, it is the duty of every employee to report any suspicious transaction or behaviour to DIFC Branch Compliance. DFSA AML rule 13.2.2
- DIFC Branch Compliance shall assist the staff in reporting any suspicion and customer details and guide the staff in order not to tip-off the customer.
- DIFC Branch Compliance will investigate the case and will decide on the basis of all available information and additional inquiries whether or not the transaction/ behaviour remains suspicious or whether there is additional information that removes the suspicion.
- DIFC Branch Compliance must, on request, be provided with all information relating to any customer to be enabled to properly assess the case.
- DIFC Branch Compliance shall report the case to Anti Money Laundering Suspicious Cases Unit (FIU) in Central Bank UAE with a copy to DFSA via GoAML, if they conclude that the transaction is suspicious. Final decision of reporting/ not reporting a suspicious activity to Anti Money Laundering Suspicious Cases Unit (FIU) in Central Bank UAE/DFSA would remain at DIFC Branch Compliance level.
- All cases submitted to Anti Money Laundering Suspicious Cases Unit (FIU) in Central Bank UAE/DFSA are treated as strictly confidential. The customer, or any one potentially linked to, is never informed that there is a suspicion on him/ her; to do so would be a criminal offence (tipping off).
- The requirement to report suspicious activity is rendered meaningless if the suspected individual or corporate legal entity is alerted to the fact that they are under investigation. 'Tipping off' is a criminal offence which is committed when something is said or done which informs the suspect that they are under suspicion of acquiring, retaining, using or controlling the proceeds of crime, thereby prejudicing the investigation. This could take the form of an active disclosure (e.g. telling the Customer that an SAR has been filed against them) or an inadvertent or passive disclosure (e.g. providing information to another who then informs the Customer; failure to respond to direct questioning from the Customer about a SAR/investigation).
- DIFC employees are reminded that in accordance with Federal AML legislation, firms or any of their Employees must not disclose, directly or indirectly, to the Customer or to any other person that they have reported, or are intending to report, a suspicious transaction. They also must not disclose information contained in an SAR or the fact that a suspicious transaction is being investigated

- DIFC Employees must ensure that they are mindful of their conduct at all times from the formulation of a suspicion to the filing of an SAR and beyond to safeguard against committing the offence of tipping off. If an Employee is in any doubt, they should contact the MLRO for guidance.
- If the DIFC reasonably believes that performing CDD measures will tip off a Customer, it may choose not to pursue that process and should immediately file an external SAR.

DIFC Branch Compliance Reporting:

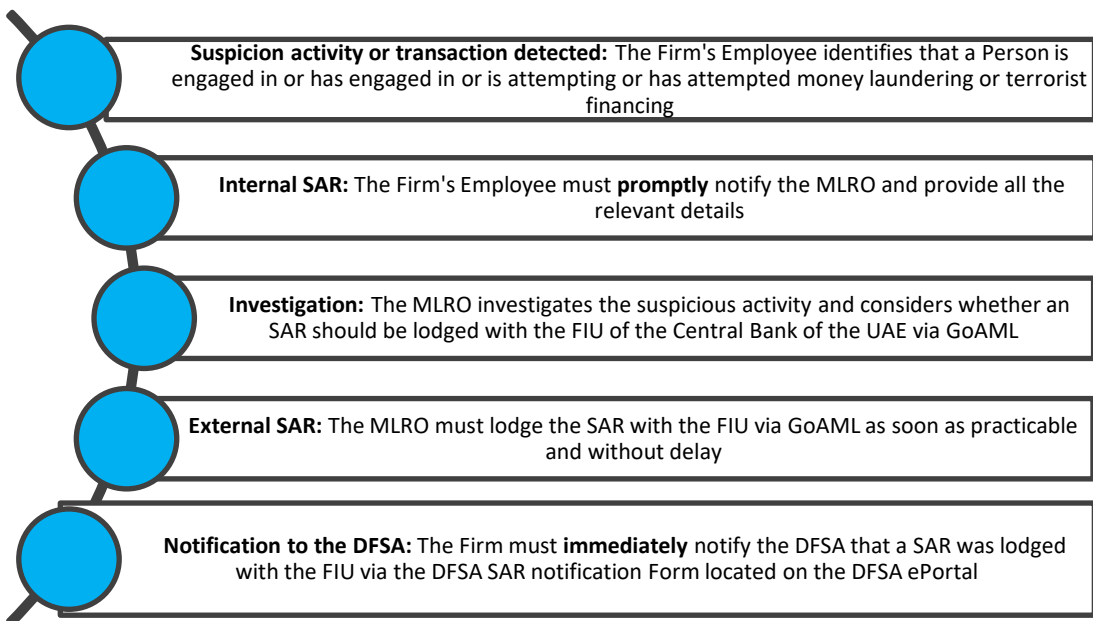
- BM and RMs are fully responsible to respond to DIFC Branch Compliance inquiries regarding certain transactions or customers where DIFC Branch Compliance has suspicion. BMs and RMs must exercise enhance due diligence and provide DIFC Branch Compliance with an accurate response.
- Based on the alert investigation done by DIFC Branch Compliance, RMs\ BMs\ Sales Representatives may be required to update customer profile/ CADD/ CTP or exercise enhance due diligence by creating CADD.
- In case the clarification given by the branch/ RM is not satisfactory and DIFC Branch Compliance found it difficult to justify the activity and the suspicious remain, DIFC Branch Compliance should report the suspicion according to the AML Reporting Procedures.

External reporting requirements (AML Rule Chapter 13)

Making an external SAR to the FIU and notifying the DFSA is the sole responsibility of the MLRO. It is their decision to make independently and is not subject to the consent or approval of any other Person¹.

From 27 June 2019, the FIU requires all Relevant Persons to register on the GoAML system and submit SARs electronically through this portal.

The following process needs to be followed when submitting an SAR:



Best practice when completing an SAR

The MLRO should also consider the following 'Do's' and 'Don'ts' when submitting an SAR to the FIU via GoAML:
DO:

¹ DFSA AML rule 13.3.3

- Submit all requested information and supporting documentation with the SAR, as required on the GoAML portal;
- Submit an SAR even if for suspicious behavior only (i.e. no transaction required);
- Submit a SAR within a reasonable timeframe of identifying the suspicious activity;
- Report confidentially without involving unrelated people as it could alert the customer and be considered as 'tipping off';
- Maintain any SARs as per the / DFSA record keeping requirements;
- Maintain any SARs as per the / DFSA record keeping requirements;
- Send additional SARs when further information comes to light in order to supplement the original suspicion, in which case the MLRO should ensure that reference is made to their previous submissions;
- Provide a clear trail of the cause(s) for suspicion(s) and as much detail as possible about the Person(s) involved, and
- Notify the DFSA of any SARs that have been lodged with the FIU using the form on the DFSA ePortal.

DO NOT:

- Terminate the relationship intentionally prior to or after raising the SAR unless there is a logical and/or unavoidable reason behind such action.
- Rely on an insertion of 'Refer to documents attached' under 'Source of Suspicion'. A brief explanation in the space provided is required and the MLRO is required to identify the suspicion clearly and concisely; and
- Do not forget to notify the DFSA (via the DFSA SAR Notification Form located on the DFSA ePortal) when a SAR has been lodged with the FIU². Access to the DFSA ePortal can be performed using the following link: https://eportal.dfsa.ae/dana-na/auth/url_default/welcome.cgi

Information contained in an SAR is confidential. DIFC is protected from any criminal, civil or administrative liability which may result from providing the required information in an SAR which has been submitted in good faith.

FIU clearance

Following the submission of the SAR, the MLRO may have an on-going dialogue with the FIU as the investigation continues as they may require more information. If DIFC has reported a suspicion to the FIU, the FIU may instruct DIFC directly on how to continue its business relationship, including effecting any Transaction with a Person. If the Customer who is under suspicion expresses a wish to move the funds in question before DIFC has received any direction from the FIU, DIFC should immediately contact the FIU for further instructions.

Sanction Reporting:

- In case a customer has been identified as being a "designated person" or there is a trial to transact with a sanctioned name/ country, DIFC Branch Compliance is obligated to immediately arrange for blocking the account/ relationship or the transaction, in case needed. DIFC Branch Compliance will arrange for notifying EOCN/copy to DFSA.
- Full details of the account or transaction are required. The account or transaction should continue to be suspended until EOCN provides its direction to the bank.
- For cases where UN Security Council has issued a resolution against a customer and in case an asset (account, relationship, transaction, etc.) has to be unblocked because the designated person has been removed from the sanctions list, DIFC Branch Compliance shall take approval from EOCN before the removal of sanction and unblock the frozen assets and/ or accounts.

² <http://www.dfsa.ae/en/What-We-Do/Supervision#AML-CTF-Sanctions-Compliance>

It is policy not to hesitate to report any suspicious case to FIU / DFSA. This is because by failing to do so, DIFC Branch would be committing an offence.

Note: As required by Federal Government AML CTF Law and DFSA/ rules governing AML/ CTF, businesses must not inform or imply to customers of their suspicion AML Rule 13.2.2. Businesses must exercise extreme cautious when dealing with these customers.

7.8 Politically Exposed Person, and their Close Associates:

“Natural persons who are or have been entrusted with prominent public functions in the State or any other foreign country such as Heads of States or Governments, senior politicians, senior government officials, judicial or military officials, senior executive managers of state-owned corporations, and senior officials of political parties and persons who are, or have previously been, entrusted with the management of an international organisation or any prominent function within such an organisation; and the definition also includes the following:

☐ Direct family members (of the PEP, who are spouses, children, spouses of children, parents).

☐ Associates known to be close to the PEP, which include:

- Individuals having joint ownership rights in a legal person or arrangement or any other close Business Relationship with the PEP.
- Individuals having individual ownership rights in a legal person or arrangement established in favour of the PEP.

They are in the category of those that pose high-risks, and the following requirements must be met:

- Classify these accounts as high-risk, and enhanced due diligence must be applied.
- A list of Politically Exposed Persons shall be available, and shall have a unique code in the system to easily identify them.
- On-boarding and maintaining the relationship with local and foreign Politically Exposed Persons requires a written approval from the SEO DIFC Branch or the authorized representative.
- Businesses must obtain the source of wealth, source of primary and additional funds, nature of activity, lists of the most important beneficiaries and depositors, verify all open accounts of politically-exposed persons and their associated persons, and apply the principle of EDD on them, and maintain a unique code in the system to easily identify them.
- In the event that the bank discovers that the existing customer or beneficial owner (the customer being the ultimate beneficiary of any account under any legal entity) has become a Politically Exposed Person or is associated with any of them, the Retail Banking must obtain the approval of the SEO DIFC Branch or the assigned representative to continue the relationship and updating their codes in the system, if necessary.
- The financial transaction performed by these types of accounts is subject to continuous monitoring by the concerned business unit and by the department. The business units must do the required EDD to verify the source of funds.
- This type of account should be updated at least annually by the relevant Business Units.
- EDD related to a Politically Exposed Person are applied to family members of the Politically Exposed Person, along with their close associates.

7.9 Sanctions, Prohibition of Dealing, and Alerting Bulletins issued by FATF / EOCN

Lists of Local Authorities and the United Nations to Prevent the Proliferation of Weapons of Mass Destruction:

- DIFC has established procedures to screen all customer names against names that have been classified as "listed persons" by local authorities and UN Security Council before, establishing the relationship, or initiating a transaction. If the transaction includes several parties such as money transfers and commercial transactions, then it is necessary to screen the names of all parties within the transactions, such as the remitter, the beneficiary, the carrier, the banks and the suppliers. DIFC also reviews and approves the supporting documents and ensuring that all international suppliers, owners and signatories are screened against the sanctions lists and are checked by the responsible unit within the Compliance department, and in the event of any "potential match" it must be referred to the Head Compliance.
- In the event of an actual/exact match, that one of the clients, dealers, or one of the transaction parties is included in the sanctions lists, this must be notified immediately to respective regulatory authority (EOCN).
- In the event that it is confirmed that one of the clients, dealers, or one of the transaction parties is included in the lists of the United Nations or local authorities, the department must notify immediately / within 24 hours to EOCN according to the Anti-Money Laundering and Terrorist Financing Guidelines.
- The department must inform the authorities of any accounts or transactions that have been frozen or any measures taken to comply with the sanctions requirements issued by the relevant Security Council resolutions, including the attempted transactions, and developing a mechanism to overdraft an account, and freezing and unfreezing accounts, along with removing names from the list.
- All concerned business units should establish effective measures to prevent the proliferation of armaments and weapons of mass destruction by verifying all the parties to the client and the countries that allow the use of products that can be used to manufacture weapons of mass destruction and/or related materials.
- All concerned business units must follow the Sanctions Guidelines, including the Guidelines for Arms, Weapons of Mass Destruction and their Related Materials.
- DIFC has the right to conduct CDD/EDD when performing a financial transaction, and the customer must provide the required information within the specified period. In case the customer does not respond, the bank has the right to freeze the account.

7.10 Sanctions Lists for other Countries and Organizations:

- All concerned business units should establish effective procedures to screen all customer names against the listed names issued by countries and international organizations (European Union, Office of Foreign Assets Control (OFAC), United Kingdom Treasury, and any other lists that the department may add) identified in periodical statements issued by the department before opening the account, establishing the relationship, or executing a transaction. If the transaction includes several parties such as money transfers and commercial transactions, then it is necessary to screen the names of all transaction parties, such as the remitter, the beneficiary, the carrier, the banks and the suppliers. In addition, it is necessary to determine the sanctions list to be followed based on the currency, nationality of the transactions parties, country of residence, and the country of the product (goods) and service.
- In the event that there is any suspicion that one of the customer(s), dealers or one of the transaction parties is included in the lists issued by countries and international organizations specified in the Sanctions Guidelines issued by the department, the sanction team in the compliance department must be informed immediately.
- In the event that it is confirmed that one of the customer(s), dealers or one of the transaction parties is a valid match in the lists issued by countries and international organizations specified in the

Sanctions Guidelines issued by the department, the department must document its decision and submit it to the EOCN immediately / within 24 hours.

FATF Alerting Bulletins

The department periodically develops special guidelines that explain how to deal with countries that do not implement or adequately implement the recommendations of the Financial Action Task Force (FATF), and all business units must comply fully with these instructions, in addition to high risk and under review jurisdictions -if necessary-.

7.11 International and Local Payments

- Complying with transparency standards and to ensure that local/international remittance messages contain complete and accurate information about the sender and beneficiary of the transfer.
- The outgoing transfer must include the following information as a minimum:
 1. Originator information (full name - account number - address).
 2. Beneficiary Information:
 - a. Full beneficiary name - account number or membership number.
 - b. The purpose of the transaction and the relationship between the sender and the beneficiary of the transfer.
 - c. Information of the sender bank, and beneficiary or intermediary bank (name or BIC Code of the bank).
 - d. Customer's acknowledgment of knowing the beneficiary or if there is a relationship or a permitted purpose.
- The incoming transfer must include the following information as a minimum:
 1. Sender information (full name - account number or membership number).
 2. Beneficiary Information: (full beneficiary name - account number or membership number).
 3. Information of the sender, beneficiary or intermediary bank (name or BIC Code of the bank).
- The transfer (of which the Bank is an intermediary) and the sender and beneficiary of the transaction is located outside the UAE the following information must be included as a minimum:
 4. Sender information (full name - account number or membership number - address).
 5. Beneficiary Information:
(full beneficiary name - account number or membership number).
 6. Purpose of the transaction in details.
 7. Information of the sender, beneficiary or intermediary bank (name or BIC Code of the bank).
 8. All parties to the transaction (local/international) are screened against the approved international and local sanction lists.
 9. The Operations Division should monitor local and international payments for the purpose of identifying payments that lack information about the sender of the transfer, beneficiary, or the purpose of the transaction, or both, and take the necessary measures in relation to it.

Correspondent Banking Relationships

In addition to applying customer due diligence, it is also applied to correspondent banking relationships with banks and financial institutions as follows:

- i. Sufficient information is collected on the correspondent financial institution to fully understand the nature of its activity and its reputation and the level of control it is subject to when establishing and updating the relationship.
- ii. The Anti-Money Laundering and Terrorist Financing controls in the correspondent banks are evaluated through a specific questionnaire, either when the relationship is established or when updated.

- iii. The approval of the senior management is required to establish the correspondent banking relationships, and approve the KYC update of the relationship in the case where the financial institution is located in a high-risk country.
- iv. In some cases, the bank may conduct meetings with correspondent bank representatives to ensure the accuracy of the information and the EDD procedures.

High - Risk Countries

Applying Enhanced due diligence measures on business relationships and transactions with natural and legal persons, and financial institutions from high-risk countries identified by DIFC

Reports

DIFC compliance department shall provide the Compliance Group / senior management the necessary reports which should showcase the following:

- The level of compliance of the branch (classified as financial institutions) to the requirements of Anti-Money Laundering and Counter Terrorist Financing and Sanctions.
- Statistics showing the suspected cases studied and the decisions taken in this regard.
- Results of risk assessment of products, services, programs, channels, customers, geographical risks, and country risks
- Any other information related to compliance or Anti-Money Laundering and Terrorist Financing and Sanctions.

Monitoring Financial Transactions

- i. All concerned employees must be diligent when initiating transactions or when reviewing customer transactions in order to know if there are any unusual transaction that exceed the customer's usual pattern or that the transaction does not match the customer's information. Upon suspecting any transactions, they must report immediately to the department without notifying the suspect or any other party since this is a violation of the regulations and the responsible party will be held accountable. All employees must review the Indicators of Suspected Money Laundering and Terrorist Financing' Guidelines issued by the Compliance Department.
- ii. The compliance department should pay special attention to monitoring all transactions, and the use of the automated systems to facilitate the monitoring of transactions by detecting abnormal activities, alerts and notifications that define unusual transactions or activities

Investigations and Reporting

Upon receiving a suspicious transaction report, the department must act immediately to conduct the necessary investigations, review the transactions, request the necessary documents and information, and take the appropriate decision for the case. All suspicious transactions, including attempts to conduct a transaction, must be reported regardless of the amount of the transaction. Regulatory procedures should be followed in the event that the decision to report the suspected transaction to the Financial Investigation Unit (FIU) through GoAml. The department should lay down procedures for investigations and reporting of Money Laundering and Terrorist Financing that guarantee the effectiveness and efficiency of investigations. The procedures must also include a mechanism for keeping records and confidential arrangements. DIFC shall submit a detailed report on the reported cases as per format and submit it to the Financial Investigation Unit (FIU), provided that the report includes the following:

- The relationship statement or the transactions that took place
- Documents obtained from applying Due Diligence measures
- Analytical report on the relationships study.

Employment, Employee Training

- Refer to the Human Resources Policy Guide.

Training and Raising Awareness of Employees (AML Module Chapter 12)

As per the Anti-Money Laundering Law and UAE cabinet decisions, DIFC in coordination with training department has prepared continuous training and awareness programs for the DIFC employees in general and the department employees in particular to improve their knowledge of the principles of due diligence and knowing customers, and to inform them about any updates in the fields of money laundering, terrorist financing and sanctions to enhance their ability to identify those typologies and their patterns and how to address them, and training the staff on this to play an effective role by taking preventive measures to reduce their occurrence and combat them.

The department shall supervise the development of training programs, provided that they include the following:

1. The programs are designed based on the responsibility of the concerned employees (for example Front-liners, Relationship Managers, Compliance and the Anti-Money Laundering, Payment Operations and Trade Operations, etc.).
2. Take the bank's products and services into consideration (for example, new products and services, and new patterns).
3. Frequency to be determined by the level of risk of the business groups
4. All employees must be educated and informed on the importance of Anti-Money Laundering and Counter Terrorist Financing policies before they start working
5. Carrying out the necessary tests to assess the extent of the employees' understanding of the field of Anti-Money Laundering and Counter Terrorist Financing.
6. Training programs shall include the different levels of employees in the bank, including responsible senior branch management.
7. Preparing awareness programs for Anti-Money Laundering, Counter Terrorist Financing and Sanctions.
8. The bank must also educate all employees of their responsibilities, their personal duties and the penalties that they may be subject to under the law if they fail to comply with the relevant requirements as stipulated in the Anti-Money Laundering and Counter Terrorist Financing Laws.

Such training should enable the Employees to:

- Understand the relevant legislation relating to money laundering, including Federal AML legislation;
- Understand the Firm's policies, procedures, systems and controls related to money laundering and any changes to these;
- Recognise and deal with Transactions and other activities which may be related to money laundering;
- Understand the types of activity that may constitute suspicious activity in the context of the business in which a Firm Employee is engaged and that may warrant a notification to the MLRO;
- Understand arrangements regarding the making of an internal SAR notification to the MLRO;
- Be aware of the prevailing techniques, methods and trends in money laundering relevant to the business of DIFC;
- Understand their roles and responsibilities in combating money laundering, including the identity and responsibility of DIFC's MLRO and deputy, where applicable; and
- Understand the relevant findings, recommendations, guidance, directives, resolutions, sanctions, notices or other conclusions described in DFSA AML chapter 10.

Training Records

The Human Resources Group / Training Department maintains records of Anti-Money Laundering and Terrorist Financing training that are made for bank employees. The records include, but are not limited to, the following:

- People who have been trained.
- History of training.
- The quality of the training provided.
- Training material provided.
- Training results.

8. Independent Reviews

Semi Annual Business Risk Assessment

DIFC Branch Compliance will conduct DIFC Branch Semi Annual Business AML risk assessment which will be approved by senior management of DIFC Branch and will be kept in records for any regulatory review.

Relevant Persons such as DIFC are obliged under UAE Cabinet Decision No. 10 of 2019 to prepare and submit semi-annual reports to their senior management, and to keep a copy of those reports, with senior management remarks and decisions, for any review to be conducted by Supervisory Authority (i.e. the DFSA).

DIFC Branch Compliance Review (RCSA):

RCSA test results are reviewed by DIFC Branch Compliance. RCSA is conducted on quarterly basis to ensure testing of compliance requirements in each business area. This includes AML&CTF compliance requirement. Issues arising out of RCSA process are discussed in BRCC. It is ensured that all outstanding issues have corrective action plans and have proper audit trails.

Assessment exceptions must be reported to senior management for their comments and corrective actions

- RCSA Grids are inclusive of AML&CTF requirements and filters down all requirements.
- The designated staff conducts the self-testing, then report their findings to Operational Risk Department (ORMD) and DIFC Branch Compliance who participate in Business Risk & Control Committee (BRCC) meetings to review and discuss the self-testing findings and acknowledge all AML&CTF compliance issues that relate to their business among other compliance related issues. Significant deficiencies should be documented by the business RCSA coordinator and recorded in BRCC.
- Business designated staff conducting the self-testing should document the AML&CTF issues and report this to ORMD/ DIFC Branch Compliance for further monitoring and action. AML&CTF issues shall be included in Meetings with Head Office.
- AML&CTF related issues should be reported to DIFC Branch Compliance for further escalation to the Compliance with HO
- Coordinating with the Businesses, to ensure that Compliance Grids are reflected properly into the RCSA Grids for the QSA process which provides appropriate self-testing of the Policy requirements.
- Monitoring the corrective actions of businesses self-testing for AML&CTF compliance.
- Review the business groups to ensure proper implementation of AML&CTF rules and adherence to AMLCTFP.

- Review the AMLCTFP to ensure adequate AML program is in place and in line with the group policy.
- Assist in developing AML Training.

Business Risk and Compliance Committee (BRCC) Review:

Each Business Head is required to review and participate in setting up the corrective action plan present during the Business Risk and Control Committee (BRCC) meetings. DIFC Branch Compliance Head participates in the Compliance meetings to acknowledge all DIFC Branch issues that relate to compliance including AML&CTF issues and to note the required corrective actions for continuous monitoring.

Annual Group Compliance Assessment

The Bank () is required under the Central Bank () Guidelines Governing Anti-Money Laundering and Counter Terrorist Financing (AML/CTF) - November 2019 - Section 2.5 to ensure that all of their foreign branches and subsidiaries apply the requirements of both the Arabian AML law and the following:

1. Paying particular attention to their foreign branches and subsidiaries located in countries that do not or insufficiently apply FATF Recommendations.
2. Ensuring their foreign branches and subsidiaries apply the higher requirements of either the host country or the home country (Arabia) in case the requirements of the host and home countries differ.
3. Informing when a foreign branch or subsidiary is unable to observe appropriate AML/CTF requirements because it is prohibited by its local laws, regulations or other measures.

Internal Audit Review (3rd Line of Defence) AML Rule 9.4.1

It is internal audit policy to cover Compliance and AML&CTF requirements in all reviews conducted by internal audit Team. Internal audit findings that relates to AML&CTF compliance should be reported to DIFC Branch Compliance Head and respective Business Head. In addition, internal audit covers AML Unit function while performing the periodic internal audit reviews on Compliance Department.

External Auditors:

External auditor's findings that relates to AML & CTF compliance should be forwarded to DIFC Branch Compliance Head, who will report/ present the issues to the committee for discussion in its meetings.

Record Retention AML Rule 14.4

Keeping Records of Customers and Financial Transactions

The bank maintains all records such as (entity incorporation documents, instructions, financial transactions, account opening files, other relationship agreements, update forms and account statements report in addition to field visit forms and Anti-Money Laundering Questionnaires, related to all clients (individuals and entities) for a period of no less than ten years from the date on which the relationship was terminated, the transaction has concluded, the account closure, contract end so that:

- It constitutes an easy reference for the bank, the supervisory authorities and the relevant authorities, as well as the internal and external auditors, the Anti-Money Laundering and Counter Terrorist Financing Department and the control functions in the bank.

- It is easy to find any transaction that has been executed or to provide a complete track record of all financial transactions, including cash transactions and money transfers.
- All records obtained through due diligence measures, incorporation documents, commercial, correspondence, credit files, CADD, KYC documents and the results of any analysis carried out should be kept to ensure that the documents, data or information obtained are constantly updated by reviewing the existing records, especially in regards to High-risk customers.
- Due diligence information about clients and transaction records should be made available immediately to the authorities.
- Records are also kept in electronic form in the Bank's archiving safe and sound systems.

Anti-Money Laundering and Terrorist Financing Department Records

Records of the following documents related to AML/CFT (original or electronic forms) must be kept for a period of no less than ten years.

- Risk Assessment and Audit Reports
- Internal audits, self-assessment and inquiry work papers investigating suspicious or abnormal transactions
- All Compliance related records of meeting and corrective actions.
- Copies of rejected transactions due to their abnormality and copies of account documentations where relationship is denied due to suspicion.
- Training and awareness materials and attendance records.

DIFC must provide to the DFSA or a law enforcement agency immediately on request a copy of a record referred to above. Further, DIFC must also document and provide to the DFSA immediately on request, the following:

- (a) the risk assessment of its business undertaken under AML Rule 5.1.1;
- (b) how the assessment in (a) was used for the purposes of complying with AML Rule 6.1.1(1);
- (c) the risk assessment of the customer undertaken under AML Rule 6.1.1(1)(a); and
- (d) the determination made under AML Rule 6.1.1(1)(b).

The records may be kept in electronic format, provided that such records are readily accessible and available to respond to any DFSA requests for information.

The DFSA would ordinarily expect the Firm to be able to provide a copy of a record or assessment referred to above within 24 hours of a request by the DFSA. However, if a request is complex or if records are kept outside the DIFC (as allowed under the Rules), the DFSA may allow further time to comply with the request.

The department maintains records and documents related to risk assessments and audit reports, so that it can explain to the regulatory authority and the relevant authorities the following:

- 1- The methodology to assess the customer's Money Laundering and Terrorist Financing risks.
- 2- Effectiveness of customer due diligence procedures, enhanced due diligence procedures and ongoing monitoring of the risks of Money Laundering and Terrorist Financing, and Sanctions.

Internal Reports

The department maintains a record of all reports related to Anti-Money Laundering and Counterterrorist Financing, including investigation reports and studies related to cases of suspected money laundering, terrorist financing and sanctions.

Reports to the Financial Investigation Unit

The department maintains a record of all reported cases/reports submitted to the Financial Investigation Unit (FIU).

Record of External Inquiries

The department maintains a record of all inquiries and requests related to Money Laundering and Terrorist Financing transactions received from regulatory authorities, other relevant authorities, and correspondent banks to ensure that all inquiries/requests are dealt with in a timely and appropriate manner.

Mail

The mail sent by the Regulatory Authorities to the Anti-Money Laundering Department shall be treated with strict confidentiality and urgent priority.

Record keeping requirements for SARs:

DIFC is required to maintain records of all SARs and any relevant supporting documents and information, including internal findings and analysis plus any relevant communications with the FIU for at least six years from the date on which the notification or report was made, the business relationship ends or the transaction is completed, whichever occurs last.

AML related reporting

DFSA Annual AML Return:

The AML Return is one of the supervisory tools used by the DFSA to assess DIFC's compliance with its AML obligations. The form also allows the DFSA to identify and action any relevant AML issues and trends that emerge in the DIFC. Similarly, this AML Return may also form a part of DIFC's systems and controls for monitoring compliance with its AML obligations.

On an annual basis, the AML Return will be prepared by the MLRO. The AML Return is required to be submitted to the DFSA each year, covering the period of the reporting year, and must be signed by DIFC's senior management. A copy of submitted DFSA Annual AML Return should be kept in DIFC Branch records.

Once the AML Return has been drafted, DIFC's senior management should promptly:

- Assess the report;
- Take any action as may be required in order to resolve any identified deficiencies; and
- Make a record of their assessment and the action taken.

DFSA/ FIU Inquiries/ Notices

DIFC Branch Compliance is responsible for receiving and responding to DFSA AML&CTF inquiries in relation to specific names, entities and transactions, which banks are required to search for any relationship/account and to report back to DFSA with detailed information including copies of account opening documentation, statements, source media, etc. In addition, DFSA also may instruct banks to block and not to deal with certain names.

9. Reviews and Updates

The Anti-Money Laundering and Terrorist Financing document is reviewed by the Head of the Department on a periodic basis or in the event of any changes in UAE regulations and Cabinet decisions, and DFSA's AML/CTF Guidelines on, and other organizational changes within the bank, and any relevant new regulations from an Anti-Money Laundering and Terrorist Financing perspective.

10.AML Statement and Whistleblowing Unit

10.1Anti-Money Laundering, Counter Terrorist Financing and Sanction Statement

In Case of suspecting money laundering or terrorist financing activities and Sanctions*, then you are obliged to report this suspicion to the AML/CTF Division by using the Suspicious Transaction Report (STR).

Please access the Indicators of Suspected Money Laundering, Terrorist Financing and Sanctions through net portal Home page and click on Rules and Regulations Guidelines then click on Indicators of Suspected Money Laundering and Terrorist Financing

Tipping off the customer or any other party of suspicion is considered a crime and the violator will be held totally responsible.

To report any Suspicious activities related to the Anti-Money Laundering and Combating the Financing of Terrorism and Sanctions Department, please utilize any of the following communication channels:
AML/CTF:

net Portal Home : E-STR

E-mail: (aml_str@.com)

Direct Phone: ()

Sanctions:

net Portal Home : E-STR

E-mail: (Compliance-Sanctions@.com)

10.2Reporting to the Whistleblowing Unit

Your commitment to ethical standards within is of utmost importance. If you are aware of any violations that have been committed, are being committed or are about to be committed in order to combat fraud, embezzlement, corruption, bribery and illegal behavior, we encourage you to report them immediately through the designated Whistleblowing reporting channels, your reporting will contribute to ensuring the integrity of the Bank.

Your vigilance helps ensure the integrity of our bank. To report such incidents, please utilize any of the following communication channels:

Direct Phone: ()

E-mail: whistleblowing@.com

Postal address: –

Online Form: You can submit your report through the dedicated whistleblowing form on the Home Page of at [E-Forms Report suspicious activities \(.com\)](#)

Please rest assured that we are committed to safeguarding the confidentiality of whistleblowers. Your identity will remain anonymous, and you will not face any retaliation for bringing such matters to our attention. Thank you for your dedication to our shared values and the continued success of our Bank.

11.Shariah Governance Requirements

For any Shariah services a request application must be filed by Business Unit (product owner), and to be sent to Shariah Support Development SSD department, as SSD is the contact point in Shariah Division to ensure the completeness and Shariah reasonable requirements are met and support business submission for Shariah approvals, opinions, or sign off, related to products development, for matters related to Product(s)' development/enhancement.

11.1 Business Unit (document owner) is required to Obtain Shariah approval on:

- a. All Islamic product(s) and services development, amendment (enhancement or deletion) of product features including all Islamic structures, executive documentation such as agreements, contracts, addendums, and forms, notifications, and scripts.
- b. Any fees, commissions, other revenue related to the Islamic products or services.

11.2 Business Unit (document owner) is required to Obtain Shariah compliance sign off on:

- a. Policies & procedure,
- b. New Product or Services template (NPST)
- c. Product Program
- d. System changes, changes request.
- e. System documentations: Term of Reference (TOR),
- f. Business Requirements Document (BRD),
- g. Solution Specification Document (SSD) Function System Document (FSD).
- h. User Acceptance Test Scenario (UAT),
- i. Marketing materials,
- j. Social media and campaigns, road shows if any, and
- k. Training materials, etc.

11.3 Product Launch Notification:

Upon a successful launch classified Shariah Compliant product, or services, Business Unit (document owner) is required to notify the Shariah Internal Control include (Shariah Compliance and Shariah Audit).

12.Risk policies from fraud and social engineering

12.1 Counter Fraud

The Counter Fraud Guide at , which is part of the financial fraud prevention system under the Central Bank's policies, aims to assist customers in establishing minimum procedures and policies to combat cases of financial fraud they may encounter, and enhance measures to mitigate the risks of financial fraud.

12.2 Social Engineering

Governance and strategy to prevent financial fraud and alert the client through various means regularly to avoid fraud.

If suspicion of any fraudulent transactions is proven, please send an email to:

Fraud_Prevention Fraud_Prevention@.com

13. Appendices

Annex 1. Red Flag Indicators for TF and PF

Accurately identifying and assessing the TF and PF risks of a customer or business relationship is critical for appropriately managing these risks. A single indicator on its own may seem insignificant, but when combined with others it could provide reasonable grounds to suspect that the transaction is related to TF or PF activity.

Red Flag Indicators for TF

Potentially Suspicious Activity That May Indicate Terrorist Financing Published in the Federal Financial Institutions Examination Council Bank Secrecy Act /AML Examination Manual

Activity Inconsistent with the Customer's Business:

- Funds are generated by a business owned by persons of the same origin or by a business that involves persons of the same origin from higher-risk countries (e.g., countries designated by national authorities and FATF as non-cooperative countries and territories).
- The stated occupation of the customer is not commensurate with the type or level of activity.
- Persons involved in currency transactions share an address or phone number, particularly when the address is also a business location or does not seem to correspond to the stated occupation (e.g., student, unemployed, or self-employed).
- Regarding nonprofit or charitable organizations, financial transactions occur for which there appears to be no logical economic purpose or in which there appears to be no link between the stated activity of the organization and the other parties in the transaction.
- A safe deposit box opened on behalf of a commercial entity when the business activity of the customer is unknown or such activity does not appear to justify the use of a safe deposit box.

Funds Transfers:

- A large number of incoming or outgoing funds transfers take place through a business account, and there appears to be no logical business or other economic purpose for the transfers, particularly when this activity involves higher-risk locations.
- Funds transfers are ordered in small amounts in an apparent effort to avoid triggering identification or reporting requirements.
- Funds transfers do not include information on the originator, or the person on whose behalf the transaction is conducted, when the inclusion of such information would be expected.
- Multiple personal and business accounts or the accounts of nonprofit organizations or charities are used to collect and funnel funds to a small number of foreign beneficiaries.

- Foreign exchange transactions are performed on behalf of a customer by a third party, followed by funds transfers to locations having no apparent business connection with the customer or to higher-risk countries.

Other Transactions That Appear Unusual or Suspicious:

- Transactions involving foreign currency exchanges are followed within a short time by funds transfers to higher-risk locations.
- Multiple accounts are used to collect and funnel funds to a small number of foreign beneficiaries, both persons and businesses, particularly in higher-risk locations.
- A customer obtains a credit instrument or engages in commercial financial transactions involving the movement of funds to or from higher-risk locations when there appear to be no logical business reasons for dealing with those locations.
- Banks from higher-risk locations open accounts.
- Funds are sent or received via international transfers from or to higher-risk locations.
- Insurance Manual loans or Manual surrender values that are subject to a substantial surrender charge.

Terrorist Financing Indicators

- Transactions involving certain high-risk jurisdictions such as locations in the midst of or in proximity to, armed conflict where terrorist groups operate or locations which are subject to weaker ML/TF controls.
- An account opened in the name of an entity, a foundation or association, which may be linked or involved with a suspected terrorist organization.
- The use of funds by a non-profit organization is not consistent with the purpose for which it was established.
- Raising donations in an unofficial or unregistered manner.
- Client identified by media or law enforcement as having travelled, attempted or intended to travel to high-risk jurisdictions (including cities or districts of concern), specifically countries (and adjacent countries) under conflict and/or political instability or known to support terrorist activities and organizations.
- Transactions involve individual(s) or entity(ies) identified by media and/or Sanctions List as being linked to a terrorist organization or terrorist activities.
- Law enforcement information provided which indicates individual(s) or entity(ies) may be linked to a terrorist organization or terrorist activities.
- Client conducted travel-related purchases (e.g. purchase of airline tickets, travel visa, passport, etc.) linked to high-risk jurisdictions (including cities or districts of concern), specifically countries (and adjacent countries) under conflict and/or political instability or known to support terrorist activities and organizations.
- Individual or entity's online presence supports violent extremism or radicalization.
- Client donates to a cause that is subject to derogatory information that is publicly available (e.g. crowdfunding initiative, charity, non-profit organization, non-government organization, etc.).

Red Flag Indicators for PF

Indicators of Possible Proliferation Financing as mentioned in Annex 1 to the 2008 FATF Typologies Report on Proliferation Financing⁷

- Transaction involves person or entity in foreign country of proliferation concern.
- Transaction involves person or entity in foreign country of diversion concern.
- The customer or counterparty or its address is similar to one of the parties found on publicly available lists of “denied persons” or has a history of export control contraventions.
- Customer activity does not match business profile, or end-user information does not match end-user’s business profile.
- A freight forwarding firm is listed as the product’s final destination.
- Order for goods is placed by firms or persons from foreign countries other than the country of the stated end-user.
- Transaction involves shipment of goods incompatible with the technical level of the country to which it is being shipped, (e.g. semiconductor manufacturing equipment being shipped to a country that has no electronics industry).
- Transaction involves possible shell companies (e.g. companies do not have a high level of capitalization or displays other shell company indicators).
- Transaction demonstrates links between representatives of companies exchanging goods i.e. same owners or management.
- Circuitous route of shipment (if available) and/or circuitous route of financial transaction.
- Trade finance transaction involves shipment route (if available) through country with weak export control laws or weak enforcement of export control laws.
- Transaction involves persons or companies (particularly trading companies) located in countries with weak export control laws or weak enforcement of export control laws.
- Transaction involves shipment of goods inconsistent with normal geographic trade patterns (e.g. does the country involved normally export/import good involved?).
- Transaction involves financial institutions with known deficiencies in AML/CFT controls and/or domiciled in countries with weak export control laws or weak enforcement of export control laws.
- Based on the documentation obtained in the transaction, the declared value of the shipment was obviously under-valued vis-à-vis the shipping cost.
- Inconsistencies in information contained in trade documents and financial flows, such as names, companies, addresses, final destination etc.
- Pattern of wire transfer activity that shows unusual patterns or has no apparent purpose.
- Customer vague/incomplete on information it provides, resistant to providing additional information when queried.
- New customer requests letter of credit transaction awaiting approval of new account.
- Wire instructions or payment from or due to parties not identified on the original letter of credit or other documentation.
- Involvement of items controlled under WMD export control regimes or national control regimes.
- Involvement of a person connected with a country of proliferation concern (e.g. a dual-national), and/or dealing with complex equipment for which he/she lacks technical background.

- Use of cash or precious metals (e.g. gold) in transactions for industrial items
- Involvement of a small trading, brokering or intermediary company, often carrying out business inconsistent with their normal business.
- Involvement of a customer or counterparty, declared to be a commercial business, whose transactions suggest they are acting as a money-remittance business.
- Transactions between companies on the basis of “ledger” arrangements that obviate the need for international financial transactions.
- Customers or counterparties to transactions are linked (e.g. they share a common physical address, IP address or telephone number, or their activities may be coordinated).
- Involvement of a university in a country of proliferation concern.
- Description of goods on trade or financial documentation is nonspecific, innocuous or misleading.
- Evidence that documents or other representations (e.g. relating to shipping, customs, or payment) are fake or fraudulent.
- Use of personal account to purchase industrial items.

Red Flag Indicators for Potential Sanctions Circumventions

Some Red Flags or Situations to Identify Potential Sanctions Circumventions Published in the Executive Office’s “Typologies on the Circumvention of Targeted Sanctions against Terrorism and the Proliferation of Weapons of Mass Destruction”

The following are some red flags or situations that could be looked at more closely or monitored by financial institutions and designated non-financial businesses or professions to identify potential sanctions circumventions of your clients, their business, or their transactions.

- Dealings in sectors vulnerable for terrorist financing and/or proliferation of weapons of mass destructions, for example
 - Financial sector
 - Hawalas or other money transfer services providers
 - Oil and gas sector
 - Non-profit organizations
 - International trade
- Dealings, directly or through a client of your client, with high-risk countries for terrorism financing.
- Dealings, directly or through a client of your client, with sanctioned countries or territories where sanctioned persons are known to operate.
- The use of shell companies through which funds can be moved locally and internationally by misappropriating the commercial sector in the UAE.
- Dealings with sanctioned goods or under embargo. For example:
 - Weapons
 - Oil or other commodities
 - Luxury goods (for Democratic People's Republic of Korea sanctions)
- Dealings with dual-used goods.
- Dealings with controlled substances.
- Identifying documents that seemed to be forged or counterfeited.

- Identifying tampered or modified documents with no apparent explanation, especially those related to international trade.
- Use of intermediaries
- When the flows of funds exceed those of normal business (revenues or turnover).
- The activity developed or financed does not relate to the original or intended purpose of the company or entity. For example:
 - For companies, they are importing high-end technology devices, but they are registered as a company that commercializes nuts.
 - For a non-profit organization, they are exporting communication devices, but they are an entity aimed to provide health services.
- Very complex commercial or business deals that seem to be aiming to hide the final destiny of the transaction or the good.
- Complex legal entities or arrangements that seem to be aiming to hide the beneficial owner.
- Carrying out of multiple ATM cash withdrawals in short succession (potentially below the daily cash reporting threshold) across various locations in territories where sanctioned people have influence or in the border of sanctioned countries
- Irregularities during the CDD process which could include, but is not limited to:
 - a) Inaccurate information about the source of funds and/or the relationship with the counterparty.
 - b) Refusal to honor requests to provide additional KYC documentation or to provide clarity on the final beneficiary of the funds or goods. Suspicion of forged identity documents.

Red Flag Indicators in the Context of the UAE

B.1 General indicators

According to the FIU, the following indicators are present in many of the typologies used in money laundering and the financing of terrorism and illegal organisations.

- Transactions involving locations with poor AML/CFT regimes or high exposure to corruption.
- Significant and/or frequent transactions in contrast to known or expected business activity.
- Significant and/or frequent transactions in contrast to known employment status.
- Ambiguous or inconsistent explanations as to the source and/or purpose of funds.
- Where relevant, nervous or uncooperative behavior exhibited by the LFI's employees and/or customers.

B.2 Wire transfers to and from bank accounts

How it works: Transferring proceeds of crime from one person to another via money remittance services.

Possible indicators

- Significant and/or frequent cash payments for transfers.
- Transfers to or from locations that have poor AML/CFT regimes or high exposure to corruption.
- Transfers to high-risk countries or known tax havens.
- Transfers to numerous offshore jurisdictions with no business rationale.
- Same home address provided by multiple remitters.
- Reluctant to provide the LFI with identification details.

B.3 Purchase of valuable commodities

How it works: Laundering proceeds of crime by purchasing valuable commodities, for example, precious metals or gems.

Possible indicators

- Significant and/or frequent cash payments for transfers.
- Transfers to or from locations that have poor AML/CFT regimes or high exposure to corruption.
- Transfers to high-risk countries or known tax havens.
- Transfers to numerous offshore jurisdictions with no business rationale.
- Same home address provided by multiple remitters.
- Reluctant to provide the LFI with identification details.
- Regularly buying and selling of valuable commodities that is not supported with a business purpose and/or does not make economic sense.

B.4 Purchase of valuable assets

How it works: Laundering proceeds of crime by purchasing valuable assets, for example, property or vehicles.

Possible indicators

- Purchase/sale of real estate above/below market value irrespective of economic disadvantage.
- Cash purchases of valuable assets with cash and/or cash deposits for valuable assets
- Low value property purchased with improvements paid for in cash before reselling.
- Rapid repayment of loans/mortgages with cash or funds from an unlikely source.

B.5 Offshore companies

How it works: The process of registering companies in the UAE, especially in the free zones, with foreign directors and/or shareholders in order to open bank accounts to facilitate money laundering and/or the financing of terrorism and illegal organisations by unverified beneficiaries.

Possible indicators

- Large numbers of companies registered with the same office address.
- Address on file is for a 'Virtual office'.
- Accounts/facilities are opened/operated by company formation agents.
- Lack of information regarding overseas directors/beneficiaries.
- Complex ownership structures.
- Companies where there is no apparent business purpose.

Additional indicators:

- The same natural person is the director for a large number of single director companies.
- The same person (natural or corporate) is the shareholder of a large number of single shareholder companies.
- Use of a small number of local 'agents' who undertake transactions with the companies' register.

B.6 Nominees, trustees, family members or third parties

How it works: Utilizing other people to carry out transactions in order to conceal the true identity of the individual ultimately controlling the proceeds of crime.

Possible indicators

- Customers using family members or third parties, including the use of children's accounts.

- Transactions where third parties seem to be retaining a portion of funds, which would indicate the use of mules.
- Accounts operated by someone other than the account holder.
- Many transactions conducted at various LFIs and/or branches, in one day.
- Significant and/or frequent transactions made over a short period of time.

B.7 Trade-based money laundering

How it works: Manipulating invoices, often in connection with international trade, by overstating the value of a shipment providing criminal entities with a paper justification to either launder proceeds of crime and/or send funds overseas to finance terrorism.

Possible indicators

- Invoice value greater than value of goods.
- Discrepancies in domestic and foreign import/export data.
- Suspicious cargo movements.
- Suspicious domestic import data.
- Discrepancies in information regarding the origin, description, and value of the goods.
- Discrepancies with tax declarations on export declarations.
- Sudden increase in online auction sales by particular vendors (online auction sites).
- Frequent purchases between same buyers and vendors (online auction sites).

B.8 Cancellation of credits or overpayments

How it works: Laundering proceeds of crime by overpaying then requesting refund cheques for the balance.

Possible indicators

- Frequent cheque deposits issued by car dealers, dealers in jewelry, etc.
- Significant and/or frequent payments to utility companies, for example, prepaid cards for fuel, telecom e-wallets etc.
- Frequent cheque deposits issued by utility companies (i.e., electricity providers).
- Significant and/or frequent payments for purchases from online auction sites.
- Frequent personal cheque deposits issued by third parties.

B.9 Electronic transfers to and from bank accounts

How it works: Transferring proceeds of crime from one bank account to another via LFIs.

Possible indicators

- Transfers to or from locations that have poor AML/CFT regimes or high exposure to corruption.
- Transfers involving accounts located in high-risk countries or known tax havens.
- Transfers to offshore jurisdictions with no business rationale.
- Multiple transfers sent to the same person overseas by different people.
- Departure from the UAE shortly after transferring funds.
- Transfers of funds between various accounts that show no economic purpose (i.e., multiple transfers incurring bank fees where one single transfer would have been sufficient).

B.10 Co-Mingling

How it works: Combining proceeds of crime with legitimate business takings.

Possible indicators

- Significant and/or frequent cash deposits when business has electronic funds transfer at point-of-sale facilities.
- Large number of accounts held by a customer with the same LFI.
- Accounts operated by someone other than the account holder.
- Merging businesses to create layers.
- Complex ownership structures.
- Regular use of third-party accounts.

B.11 Gatekeepers/professional services

How it works: Utilizing 'Professionals' to establish seemingly legitimate business activities, for example, Lawyers, Accountants, Brokers, Company Formation Agents.

Possible indicators

- Accounts and/or facilities opened and/or operated by company formation agents.
- Gatekeepers that appear to have full control.
- Known or suspected corrupt professionals offering services to criminal entities.
- Accounts operated by someone other than the account holder.

B.12 Cash deposits

How it works: Placement of cash into the financial system.

Possible indicators

- Large cash deposits followed immediately by withdrawals or electronic transfers.

B.13 Structuring

How it works: Separating large transactions into small transactions to avoid scrutiny and detection from LFIs.

Possible indicators

- Many transactions conducted at various LFIs and/or branches, in one day.
- Small/frequent cash deposits, withdrawals, electronic transfers made over a short time period.
- Multiple low value domestic or international transfer.

B.14 Smurfing

How it works: Utilizing third parties or groups of people to carry out structuring.

Possible indicators

- Third parties conducting numerous transactions on behalf of other individuals.
- Many transactions conducted at various LFIs and/or branches, in one day.
- Accounts operated by someone other than the account holder.

B.15 Credit Cards/Cheques/Promissory Notes

How it works: Instruments used to access funds held in an LFI, often in another jurisdiction.

Possible indicators

- Frequent cheque deposits in contrast to known or expected business activity.
- Multiple cash advances on credit card facilities.
- Credit cards with large credit balances.

B.16 Transactions inconsistent with intended purpose of the account

How it works: Transactions that are out of the ordinary for the individual or conducted without a clear rationale.

Possible indicators

- Transactions to or from unrelated parties.
- Transaction amounts that are inconsistent with the account's expected volumes or frequencies.
- Transactions that are out of the ordinary for the customer's profession or business activity.

B.17 Cash couriers

How it works: Concealing the movement of a certain amount of currency from one jurisdiction to another using people, luggage, mail, or any other mode of shipment, without declaration.

Possible indicators

- Transactions involving locations with poor AML/CFT regimes or high exposure to corruption.
- Customers originating from locations with poor AML/CFT regimes/high exposure to corruption.
- Significant and/or frequent cash deposits made over a short period of time.
- Significant and/or frequent currency exchanges made over a short period of time.

B.18 Other payment technologies

How it works: Utilizing emerging or new payment technologies such as virtual currencies/cryptocurrencies, peer-to-peer (P2P) lending etc. to facilitate money laundering and/or the financing of terrorism and illegal organisations

Possible indicators

- Excessive use of stored value cards.
- Significant and/or frequent transactions using mobile telephone services.
- Unjustified transactions to and from Cryptocurrency platforms and digital assets exchanges.

B.19 Underground banking/alternative remittance services

How it works: Transferring proceeds of crime from one person to another via informal banking mechanisms such as unregistered Hawaladars (an informal channel for transferring funds from one location to another through service providers.)

Possible indicators

- Mostly prevalent under the auspices of a general trading company license.
- Significant and/or frequent cash payments for transfers in which the cash deposits could be from many different individuals using the cash deposit machines.
- Cash volumes and transfers in excess of average income of migrant account holders.
- Transfers to or from locations that have poor AML/CFT regimes or high exposure to corruption.
- Large transfers from accounts to potential cash pooling accounts.
- Significant and/or frequent transfers recorded informally using unconventional bookkeeping.
- Significant and/or frequent transfers requested by unknown or intermittent customers.
- Numerous deposits to one account followed by numerous payments made to various people.
- Vague invoices and documentation which may deliberately be made to appear complex.

B.20 Cash exchanges

How it works: Exchanging low denomination notes for high denomination notes (also known as refining) as a means to launder proceeds of crime, as well as reduce large volumes of cash obtained from serious crime.

Possible indicators

- Significant and/or frequent cash exchanges from small to large denominations.

B.21 Currency conversion

How it works: Converting one currency into another as a means to launder proceeds of crime, as well as reduce large volumes of cash obtained from serious crime.

Possible indicators

- Significant and/or frequent local or foreign currency exchanges.
- Opening of foreign currency accounts with no apparent business or economic purpose.